

Management Discussion and Analysis Report

MACROECONOMIC ENVIRONMENT

GLOBAL ENVIRONMENT

FY 2025-26 was shaped by two significant external disruptions which triggered a broad reassessment of inflation and interest-rate expectations globally. The year began with trade policy uncertainty arising from tariff measures and ended with geopolitical escalation in West Asia. Despite these disruptions, global GDP growth remained resilient in the early part of the year, with GDP expanding at 3.4% in CY 2025, exceeding expectations. However, conditions tightened towards year-end as crude oil prices approached USD 120 per barrel, following disruptions in the Strait of Hormuz, reigniting inflationary pressures and prompting a reassessment of monetary policy trajectories.

Central Bank responses diverged: the Bank of England cut rates by 100 basis points (bps); the ECB cut by 50 bps before pausing; the Bank of Japan hiked by 40 bps and China maintained its 5% growth target despite continued tariff pressures. Overall, the year closed under the shadow of the West Asia conflict with several central banks commencing or signalling rate hiking cycles in response to renewed inflation risks.

INDIAN ECONOMY

Against this backdrop, India remained among the fastest growing major economies, with real GDP growth estimated at 7.7% in FY 2025-26, up from 7.1% in the previous year (as per the new GDP series with base as FY 2022-23). Economic momentum strengthened during the year with Q2FY26 growth at 8.3%, driven by festive demand, improving investment activity and stronger consumption following GST rate rationalisation. Growth moderated slightly to 7.8% in Q4FY26, as the West Asia conflict affected sentiment. Policy support remained constructive. The Union Budget for FY 2026-27 maintained fiscal discipline with central deficit budgeted at 4.3% of GDP, alongside a 12% increase in capital expenditure focussed on infrastructure, manufacturing and defence. The creation of a ₹1.5 lakh crore Economic Stabilisation Fund further strengthened the policy framework to mitigate macro shocks, particularly energy-related risks. On a value-added basis, real GVA growth printed at 7.9% in FY 2025-26 (up from 7.3% in FY 2024-25) led by manufacturing and services growth, reinforcing the resilience of India's domestic growth engines.

FY 2025-26 Real GVA growth at 7.9%

Real GVA growth in FY 2025-26 (NSO estimates, %)

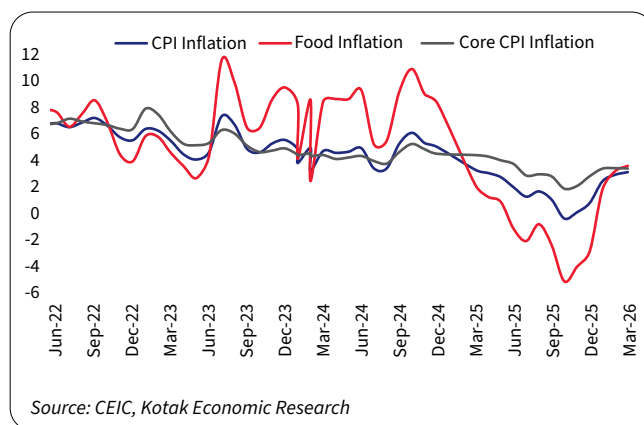


Source: CEIC, Kotak Economics Research

Domestic Price Dynamics

Inflation remained benign for most of FY 2025-26 before reversing late in the year. Average headline CPI inflation declined to 2.06% in FY 2025-26 from 4.64% in FY 2024-25, supported by favourable food prices, good monsoon, benign commodity prices (average crude oil prices were lower by 11.8% for the full year) and revision in CPI series (base year CY 2024 with food weight reduced to 36.8%). This trend reversed sharply in Q4FY26 as the West Asia conflict pushed energy costs higher, closing the year at 3.1% inflation for that quarter.

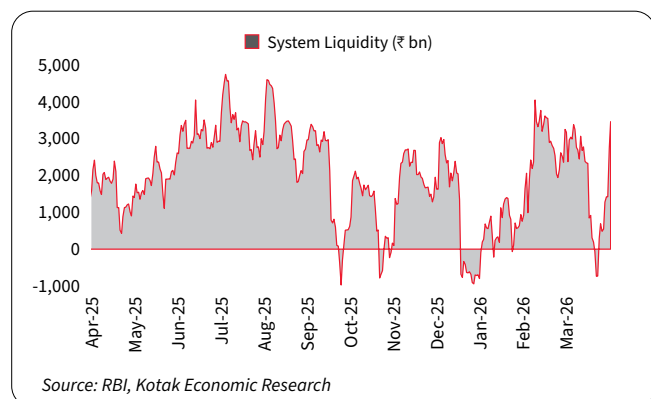
CPI inflation has averaged 2.06% in FY 2025-26 against 4.64% in FY 2024-25



Monetary Policy and Interest Rates

The benign inflation throughout the year allowed the Reserve Bank of India (RBI) to adopt a more accommodative stance, reducing the policy repo rate by a cumulative 100 basis points during FY 2025-26 to 5.25% by year end and maintaining ample system liquidity, approximately 1% of NDTL, through a combination of durable and frictional liquidity injection tools.

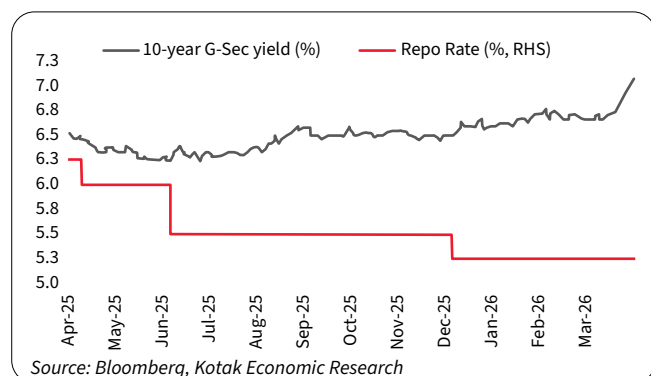
The System Liquidity Has Remained In Surplus For The Better Part of FY 2025-26



Financial markets, however, remained volatile. Even prior to geopolitical escalations, bond yields were weighed down by expectations of early end to the rate-cutting cycle and supply related concerns. The UST 10-year yield, after falling to 3.94% prior to the war, driven by a weak labour market, contained consumer inflation and expectations of rate cuts by the Federal Reserve in CY 2026, reversed higher as oil prices surged and inflation expectations rose. Overall, the UST 10-year yield moved up 11 bps in FY 2025-26 to close at 4.32%.

In comparison, the Government of India benchmark 10-year yield moved up by 46 bps in FY 2025-26 to 7.04%, with 38 bps increase occurring in March itself, reflecting fiscal slippage concerns and rising geopolitical risk premium.

The Spread Between Repo Rate And 10-Year Benchmark G-Sec Yield Has Widened

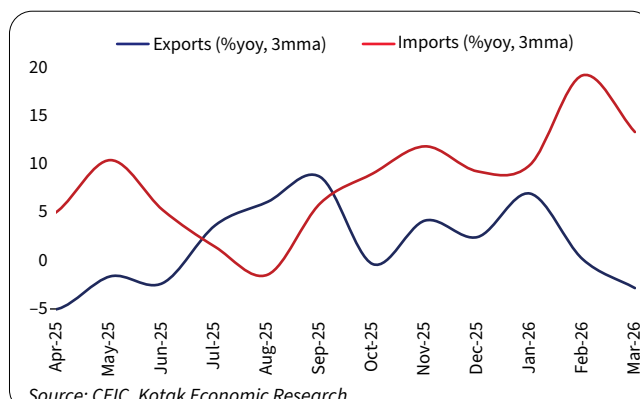


This widening spread between the repo rate and long-term bond yields created a challenging operating environment for banks.

External Sector and INR

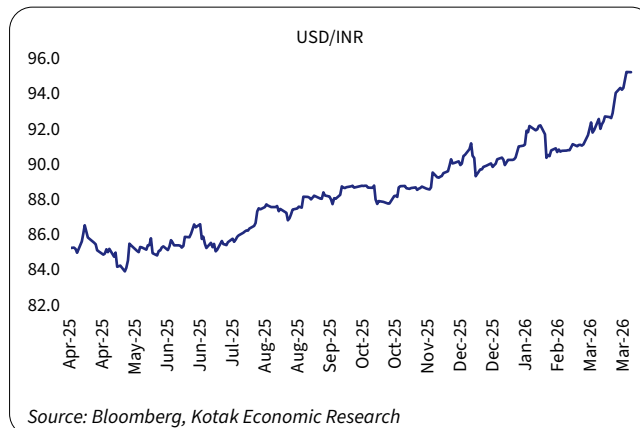
India's external sector remained broadly manageable, although global risk aversion increased pressure on the currency. The Balance of Payments registered a deficit of USD 23.60 billion for FY 2025-26, with current account deficit at 0.6% of GDP.

Import Growth Outpaced Export Growth In FY 2025-26



The Indian Rupee depreciated 9.9% against US dollar during the year amid global risk aversion, higher crude prices and shifting capital allocation toward developed markets. Despite currency pressures, India's external buffers remained strong with Foreign Exchange reserves increasing by USD 22.6 billion to USD 688 billion. The RBI actively intervened in FX markets and toward year-end temporarily restricted banks' onshore net open positions to USD 100 million to curb speculative activity.

After a stable Q1FY26, INR witnessed depreciation through FY 2025-26



BANKING AND BFSI ENVIRONMENT

The evolving macroeconomic environment had direct implications for the banking and financial services sector, with the rate-cut cycle leading to lowering of yield on advances whereas the repricing of deposits happened with a lag, consequently putting pressure on net interest margins. Deposit mobilisation remained competitive, as Bank credit growth outpaced deposit mobilisation in FY 2025-26. Liquidity conditions were supportive for most of the year, though volatility increased toward the end. Capital market activity remained resilient despite foreign outflows, supported by strong domestic institutional participation, benefiting fee-based businesses. At the same time, select stress pockets emerged in microfinance industry and unsecured retail segments, prompting a more calibrated approach to underwriting and portfolio growth across the sector.

IMPLICATIONS FOR KOTAK

FY 2025-26 presented a mixed macro-economic backdrop for Kotak. The 100 bps repo rate cut cycle impacted the Bank's profitability as loan yields repriced faster than deposit costs impacting Net Interest Margins (NIM). At the same time, market volatility and currency movements created opportunities in treasury, foreign exchange, capital market and asset management businesses, while elevated competition for deposits and selective stress in unsecured retail and microcredit required a calibrated and risk-conscious approach to growth.

At a structural level, India's key growth drivers such as estimated real GDP growth of 7.7% in FY 2025-26, an expanding affluent segment and a maturing digital infrastructure continued to strengthen, reinforcing the long-term growth opportunity for integrated financial institutions.

As a diversified financial services group spanning banking and lending, capital markets, asset management and protection, Kotak remains well positioned to navigate near-term volatility while capturing long-term opportunities across India's evolving financial landscape.

A FULLY DIVERSIFIED AND INTEGRATED FINANCIAL CONGLOMERATE

Kotak operates as a diversified and fully integrated financial conglomerate, spanning four engines of growth—banking and lending, capital markets, asset management and protection. With 100% ownership of all subsidiaries, the Group retains the entire embedded value while ensuring complete alignment in strategy, governance and capital allocation.

The strength of this model lies in Kotak's ability to both manufacture and distribute every major financial product within a single platform. Its subsidiaries operate through specialised channels while leveraging the Bank's distribution franchise, including corporate relationship managers, private bankers, branch networks and digital platforms. This enables customers to access liabilities, lending, investments, advisory and insurance through a unified ecosystem. This integrated structure provides a structural advantage; the ability to capture emerging opportunities across the financial services landscape as trends shift, while retaining profitability within the Group across cycles. The four growth engines operating under one roof provide inherent counter-cyclical resilience, supporting balanced growth and earnings stability.

Anchored by a strong capital position, a well-established brand and robust governance and risk management framework, it serves its customers' evolving needs. Kotak's differentiated conglomerate model delivers strategic flexibility, deep integration and the ability to consistently meet evolving customer needs with a comprehensive, in-house financial ecosystem.

GEOGRAPHICAL PRESENCE

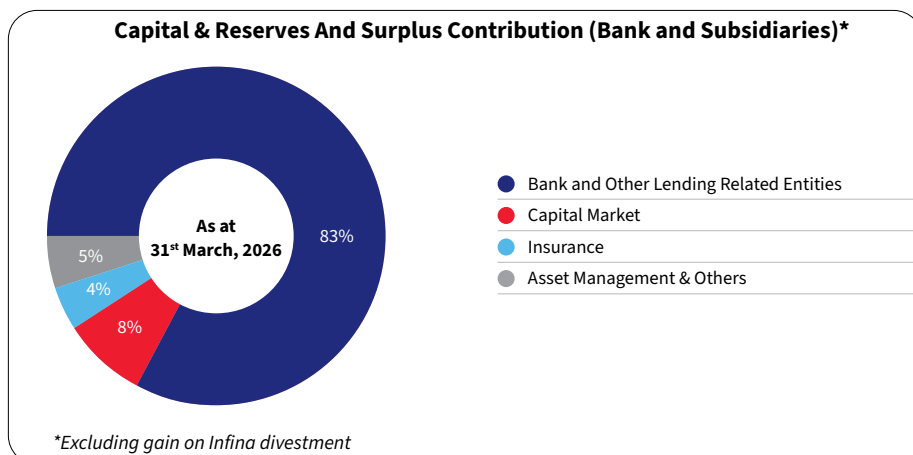
Kotak's distribution architecture combines domestic scale with international connectivity, enabling the Group to serve customers across segments, journeys and geographies. As on 31st March, 2026, the Bank operated 2,276 branches, 2,727 ATMs (including cash recyclers) and 10 currency chests across 1,013 pan-India operating locations, contributing to an overall Group presence of 5,581 locations in India.

The domestic footprint is complemented by international presence, including an International Banking Unit at GIFT City (Gujarat International Finance Tec-City), a branch at DIFC (Dubai International Financial Centre) and offices across New York, London, Mauritius, Dubai, Singapore and Abu Dhabi. All these enable Kotak to support affluent, NRI and institutional clients across key global financial corridors.

CONSOLIDATED FINANCIAL PERFORMANCE

ENTITY-WISE CAPITAL & RESERVES AND SURPLUS

Kotak remains strongly capitalised, with consolidated Capital & Reserves and Surplus of ₹181,112.75 crore as at 31st March, 2026, providing resilience and strategic flexibility to drive multi-engine growth while maintaining disciplined risk and balance sheet management.



(₹ in crore)

Particulars	31 st March, 2026	31 st March, 2025
Kotak Mahindra Bank Limited	135,198.59	117,145.62
Kotak Mahindra Prime Limited	11,159.45	10,195.53
Kotak Mahindra Investments Limited	4,252.17	3,841.65
Kotak Infrastructure Debt Fund Limited	632.88	572.62
BSS Sonata Microcredit Limited**	1,265.25	936.32
Sonata Finance Private Limited*	-	402.07
Bank and Other Lending Related Entities	152,508.34	133,093.81
Kotak Securities Limited	11,596.81	10,012.04
Kotak Mahindra Capital Company Limited^	3,716.95	1,630.20
Capital Market	15,313.76	11,642.24
Kotak Mahindra Asset Management Company Limited and Kotak Mahindra Trustee Company Limited	4,691.88	3,705.35
Kotak Alternate Asset Managers Limited	1,481.96	1,187.44
International Subsidiaries	2,694.82	2,280.82
Other Entities	113.48	106.94
Asset Management and Others	8,982.14	7,280.55
Kotak Mahindra Life Insurance Company Limited	6,738.11	6,403.07
Protection	6,738.11	6,403.07
Total	183,542.35	158,419.67
Add: Share in Associates**	450.16	1,767.59
Less: Consolidated Adjustments	(2,879.76)	(2,792.18)
Consolidated Capital & Reserves and Surplus	181,112.75	157,395.08

*Formerly known as BSS Microfinance Limited | *With effect from 11th October, 2025, Sonata Finance Private Limited (Sonata) merged with BSS Microfinance Limited (BSS). The appointed date of the merger is 1st April, 2025 | ^On 24th March, 2026, Kotak Mahindra Capital Company (KMCC) divested stake in its associate Infina Finance Private Limited (Infina). Consequently, Infina ceases to be an associate of the Group | **On 18th June, 2024, Bank completed divestment in Zurich Kotak General Insurance Limited (ZKGI). Consequently, ZKGI ceases to be a subsidiary of the Kotak group and is considered as an associate of the Group.

CONSOLIDATED PERFORMANCE

The Consolidated Balance Sheet crossed ₹10 lakh crore, marking a key milestone in Kotak's four-decade journey of disciplined compounding.

FY 2025-26 reflects the resilience of the diversified and integrated conglomerate model, with balanced growth across business segments, with non-banking and lending engines playing an increasingly important role in earnings diversification. Banking and lending remained the largest contributors, with profitability moderated by margin compression and elevated credit costs. Capital markets delivered stable growth, supported by strong equity issuance, institutional flows and secondary market activity. Asset management and alternate assets business benefited from industry tailwinds and operating leverage. Life Insurance recorded steady premium growth, though profitability was impacted by regulatory changes. The evolving earnings mix reinforces the strength of the four-engine model, enabling stability and resilience across economic cycles.

Book value per share increased 15.01% to ₹182.09, reflecting the underlying strength of the franchise despite a year of ROE compression. Consolidated ROE moderated from 13.12% (excluding gain from ZKGI divestment) to 11.28% (excluding gain from Infina divestment). This was primarily driven by three transitional factors - NIM compression as the rate cycle reset, elevated credit costs from microcredit and retail unsecured portfolios and front-loaded technology investments ahead of expected operating leverage.



CONSOLIDATED HIGHLIGHTS

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	107,947.59	106,902.24
Profit After Tax*	19,102.73	19,112.53
Capital & Reserves and Surplus	181,112.75	157,395.08
Customer Assets Under Management [#]	747,613.15	667,163.17
Customer Assets [^]	616,219.10	537,860.02
Key Ratios		
Net Interest Margin (NIM)	4.63%	4.97%
Return on Assets*	2.06%	2.36%
Return on Equity*	11.28%	13.12%
Basic Earnings Per Share (₹)**	19.40	22.26
Diluted Earnings Per Share (₹)**	19.39	22.26
Book Value Per Equity Share (₹)**	182.09	158.33
Gross NPA	1.23%	1.45%
Net NPA	0.31%	0.36%
Capital Adequacy Ratio (CAR)	22.97%	23.31%
CET 1	22.08%	22.34%

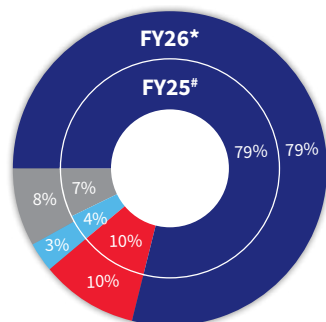
*Consolidated Profit After Tax, Return on Assets and Return on Equity for FY 2025-26 excludes gain of ₹185.16 crore from divestment of stake in Infina and for FY 2024-25 excludes gain of ₹3,013.46 crore on divestment of stake in ZKGI | [#]Customer Assets Under Management include undrawn commitments, wherever applicable | [^]Customer Assets comprise Advances (gross of IBPC & BRDS) and Credit Substitutes | **Earnings per share and Book Value Per Share computed based on sub-division of 1 equity share of face value ₹5 each into 5 equity shares of ₹1 each w.e.f. 14th January, 2026

CONSOLIDATED FINANCIAL RESULTS

(₹ in crore)

Particulars	FY 2025-26		FY 2024-25	
	PBT	PAT	PBT	PAT
Kotak Mahindra Bank Limited	18,585.72	14,007.70	18,064.21	13,720.13*
Kotak Mahindra Prime Limited	1,342.09	1,007.59	1,356.86	1,015.47
Kotak Mahindra Investments Limited	570.64	428.48	674.51	501.25
Kotak Infrastructure Debt Fund Limited	60.26	60.26	52.91	53.20
BSS Sonata Microcredit Limited [#]	(88.17)	(73.15)	(99.34)	(73.67)
Sonata Finance Private Limited [^]	-	-	17.27	12.66
Bank and Other Lending Related Entities	20,470.54	15,430.88	20,066.42	15,229.04
Kotak Securities Limited	2,183.92	1,641.90	2,175.23	1,640.46
Kotak Mahindra Capital Company Limited	446.97	349.78**	460.53	360.63
Capital Market	2,630.89	1,991.68	2,635.76	2,001.09
Kotak Mahindra Asset Management Company Limited and Kotak Mahindra Trustee Company Limited	1,429.90	1,081.88	1,270.40	976.50
Kotak Alternate Asset Managers Limited	382.17	292.31	179.65	139.31
International Subsidiaries	203.38	155.05	294.46	254.98
Others	9.73	6.53	10.09	8.02
Asset Management and Others	2,025.18	1,535.77	1,754.60	1,378.81
Kotak Mahindra Life Insurance Company Limited	1,089.66	628.46	1,174.99	769.47
Zurich Kotak General Insurance Company (India) Limited ^{##}	-	-	(20.56)	(20.56)
Protection	1,089.66	628.46	1,154.43	748.91
Total	26,216.27	19,586.79	25,611.21	19,357.85
Add: Share from Associates		107.27		180.25
Less: Inter-company and Other Adjustments		(591.35)		(425.56)
Consolidated PAT		19,102.73**		19,112.53*

*FY 2024-25: Bank PAT excludes one-time ZKGI gain of ₹2,729.95 crore. Consolidated PAT excludes one-time ZKGI gain of ₹3,013.46 crore | [#]Formerly known as BSS Microfinance Limited | [^]Sonata merged with BSS w.e.f. 11th October, 2025 | **FY 2025-26: KMCC PAT excludes ₹1,094.50 crore exceptional gain on Infina divestment. Consolidated PAT excludes ₹185.16 crore gain from Infina divestment after considering the carrying value of the associate in consolidated financials | ^{##}FY 2024-25: ZKGI ceased to be a subsidiary of the Bank and became an associate w.e.f. 18th June, 2024



*Excluding gain on Infina divestment | *Excluding gain on ZKGI divestment

CONTRIBUTION OF ASSOCIATES TO KOTAK GROUP FOR FY 2025-26

(₹ in crore)

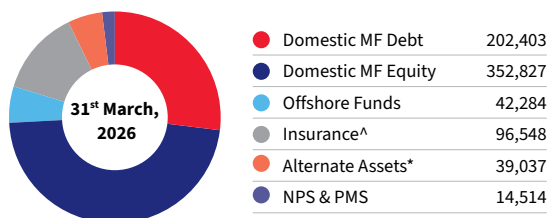
Name of the Company	Investment by Kotak Group	% Shareholding of the Kotak Group	Contribution to Profit	Contribution to Capital & Reserves and Surplus
Phoenix ARC Private Limited	100.02	49.90%	84.07	539.00
Zurich Kotak General Insurance Company (India) Limited	321.82	30.00%	(83.57)	(88.84)
Infina Finance Private Limited*	-	-	106.77	-

*upto 23rd March, 2026

CONSOLIDATED CUSTOMER ASSETS UNDER MANAGEMENT

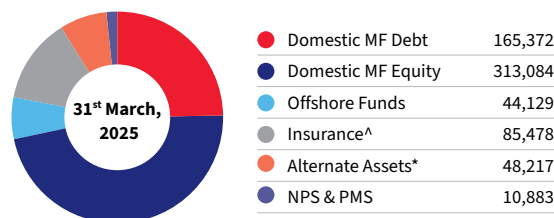
Consolidated Customer Assets Under Management increased 12.06% YoY to ₹7.48 lakh crore as at 31st March, 2026 from ₹6.67 lakh crore as at 31st March, 2025, reflecting broad-based growth across investment, advisory and insurance businesses.

AUM - ₹747,613 crore



^Policyholder's AUM | *Including undrawn commitments, wherever applicable

AUM - ₹667,163 crore



^Policyholder's AUM | *including undrawn commitments, wherever applicable

KEY DEVELOPMENTS IN FY 2025-26

During the year, Kotak undertook several strategic actions, as set out below:

- The National Company Law Tribunal (NCLT) has approved the Scheme of Amalgamation ("Scheme") of Sonata Finance Private Limited (Sonata) with BSS Microfinance Limited (BSS), both, wholly-owned subsidiaries of the Bank, on a going concern basis, under the provisions of Sections 230 to 232 of the Companies Act, 2013 and the rules made thereunder. The scheme has been made effective on and from 11th October, 2025 with appointed date of 1st April, 2025. Consequently, Sonata has merged with BSS with effect from 11th October, 2025. The resultant merger has no impact on the consolidated financial statements of the Bank, as both the entities were wholly-owned subsidiaries of the Bank.
- Basis the Shareholders' approval received on 26th December, 2025, the sub-division ("Split") of 1 ("One") existing equity share having a face value of ₹5/- (Rupees Five only) each, fully paid-up, into 5 ("Five") equity shares having face value of ₹1/- (Rupee one only) each, fully paid-up was effective from 14th January, 2026 ("Record date").



- On 24th March, 2026, Kotak Mahindra Capital Company Limited (KMCC), a wholly owned subsidiary of the Bank divested 30.99% out of its total stake of 49.99% in its associate Infina Finance Private Limited (Infina). Consequent to this sale, Infina ceases to be an associate company of the Bank with effect from 24th March, 2026.
- Pursuant to the provisions of the Reserve Bank of India (Commercial Banks - Undertaking of Financial Services) Directions, 2025 (as updated and amended from time to time) (RBI Directions) and in the interest of group simplification and to drive operations synergies, the business activities of Kotak Mahindra Investments Limited (KMIL), a wholly-owned subsidiary of the Bank, will be conducted departmentally within the Bank on and from 1st April, 2026. KMIL will not sanction any new loans with effect from 1st April, 2026 and will continue to service its existing facilities including honouring its obligations under the facility agreements executed on or prior to 31st March, 2026. Subsequently, the Board of Directors of the Bank at their meeting held on 30th May, 2026, considered and approved (a) assignment of the loan portfolio (excluding overdue NPAs) and (b) sale of non-treasury investments (Pass-Through Certificate (PTCs) + Debentures) to the Bank.

ACCOUNTING METHODOLOGY

The financial statements of the subsidiaries (other than Kotak Karma Foundation, a Section 8 company, whose accounts are excluded from consolidation in accordance with the requirements of AS 21 on "Consolidated Financial Statements") used for consolidation of the Bank's consolidated financial statements are special purpose financial statements prepared in accordance with GAAP specified under Section 133 of the Act read with relevant notifications.

BANK STANDALONE FINANCIAL PERFORMANCE

The Bank delivered PAT of ₹14,007.70 crore in FY 2025-26 compared with ₹13,720.13 crore (PAT including gain from ZKGI divestment: ₹16,450.08 crore) in FY 2024-25. Return on Assets moderated to 1.97% in FY 2025-26 from 2.21% in FY 2024-25, while Return on Equity declined to 11.08% from 12.57%.

Despite margin and credit cost pressures, the Bank maintained strong operating discipline, with cost-to-assets improving to 2.75% in FY 2025-26 from 3.02% in FY 2024-25, reflecting early benefits of scale and operating leverage. Bank continues to spend approximately 13% of the total operating expenses on technology related initiatives.

BANK STANDALONE – KEY RATIOS

(₹ in crore)

Particulars		FY 2025-26	FY 2024-25
Profitability	Net Interest Margin	4.60%	4.96%
	Cost of Funds	4.67%	5.10%
	Return on Equity	11.08%	12.57%
	Return on Assets	1.97%	2.21%
Efficiency	Cost-to-Income Ratio	47.00%	47.17%
	Cost-to-Assets	2.75%	3.02%
Balance Sheet Stability	Credit-Deposit Ratio	86.65%	85.54%
	CASA Ratio	43.27%	42.96%
	Capital Adequacy Ratio	22.40%	22.25%
	CET 1	21.34%	21.10%
Asset Quality	Gross NPA	1.20%	1.42%
	Net NPA	0.25%	0.31%
	Credit Cost on Advances (bps) [#]	65	60
	Slippage Ratio	1.22%	1.49%
	Provision Coverage Ratio [^]	80.49%	80.38%

^{*}Excluding post-tax gain of ₹2,729.95 crore from ZKGI divestment | [#]Credit Cost on specific provisions | [^]Including technical write-offs

SYNOPSIS OF THE PROFIT AND LOSS ACCOUNT

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25*
Net Interest Income	30,010.07	28,341.78
Other Income	11,623.29	11,418.49
Net Total Income	41,633.36	39,760.27
Employee Cost	8,351.67	7,880.63
Other Operating Expenses	11,214.79	10,873.07
Operating Expenditure	19,566.46	18,753.70
Operating Profit	22,066.90	21,006.57
Provision and Contingencies (Net)	3,481.18	2,942.36
- Provision on Advances (Net)	3,598.21	2,905.44
- General Provision Covid-19 related	(64.10)	(52.35)
- Provision on Other Receivables	15.13	(4.38)
- Provision on Investments	(68.06)	93.65
Profit Before Tax	18,585.72	18,064.21
Provision for Tax	4,578.02	4,344.08
Profit After Tax	14,007.70	13,720.13

*Excludes post-tax gain of ₹2,729.95 crore on divestment of ZKGI

Net Interest Income

Net Interest Income (NII) grew 5.89% to ₹30,010.07 crore in FY 2025-26, from ₹28,341.78 crore in FY 2024-25. Net Interest Margin moderated to 4.60% in FY 2025-26 from 4.96% in FY 2024-25, reflecting the impact of declining interest rate environment and faster repricing of floating-rate loans relative to liabilities. The high share of repo-linked loans further accelerated this repricing dynamic. As at 31st March, 2026, 63% of the loan book was linked to the repo rate, up from 62% in the previous year. Following the RBI's 100 bps reduction in repo to 5.25% in FY 2025-26, loan yields reset faster than deposit costs. Yield on interest-earning assets declined to 8.59% in FY 2025-26 from 9.31% in FY 2024-25, while cost of funds improved to 4.67% from 5.10% during the same period. Average interest-earning assets grew 13.59% to ₹640,591.68 crore as at 31st March, 2026 from ₹563,937.17 crore as at 31st March, 2025, supporting overall NII growth despite margin compression.

Non-Interest Income

Non-interest income remained resilient at ₹11,623.29 crore in FY 2025-26 compared with ₹11,418.49 crore in FY 2024-25 (excluding gains from ZKGI divestment). The growth was supported by higher commission, exchange and brokerage income, strong traction in direct banking fees and loan service charges and increased derivative-related exchange income.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Commission, Exchange and Brokerage	8,251.66	7,944.26
Profit on Sale / Revaluation of Investments	(448.85)	961.92*
Profit on Exchange Transactions (Net) (Including Derivatives)	2,781.03	1,427.79
Profit on Recoveries of Non-Performing Assets Acquired / Stress assets acquired	290.83	391.89
Income From Subsidiaries / Associates Towards Shared Services	164.34	144.38
Dividend From Subsidiaries	448.53	380.00
Others	135.75	168.25
Total Other Income	11,623.29	11,418.49*

*On 18th June, 2024, the Bank completed the divestment of 70% stake (through a combination of fresh growth capital and share sale) in its subsidiary Kotak Mahindra General Insurance Company Limited (KGI) to Zurich Insurance Company Limited (Zurich). The Bank sold 553,181,595 equity shares of KGI for a consideration of ₹4,095.82 crore, resulting gain from such sale of ₹3,542.64 crore which has been excluded in Profit on Sale/ Revaluation of Investments.

Employee Cost

Employee cost of the Bank increased from ₹7,880.63 crore for FY 2024-25 to ₹8,351.67 crore for FY 2025-26. The employee base reduced from over 75,300 as at 31st March, 2025 to over 74,000 as at 31st March, 2026 reflecting ongoing productivity and efficiency initiatives. The Bank has assessed the impact of the New Labour Codes and based on certain estimates and actuarial valuation, has recognised an incremental provision of ₹95.53 crore for the year ended 31st March, 2026 considering information available, this impact will be re-assessed and finalised based on the final Rules and industry practices.



Other Operating Expenses

Other Operating expenditure increased 3.14% to ₹11,214.79 crore from ₹10,873.07 crore in FY 2024-25, reflecting continued investment in technology, infrastructure and customer-facing capabilities. Operating efficiency improved during the year with operating leverage beginning to play through.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Rent, Taxes and Lighting	1,059.84	1,035.44
Printing and Stationery	158.60	135.95
Advertisement, Publicity and Promotion	933.70	1,009.01
Depreciation on Bank's Property	818.64	728.69
Directors' Fees, Allowances and Expenses	5.54	5.74
Auditors' Fees and Expenses	5.55	5.31
Law Charges	33.23	23.22*
Postage, Telephone etc.	489.19	468.93
Repairs and Maintenance	1,457.37	1,345.54
Insurance	642.52	553.45
Professional Charges	1,485.53	1,839.50*
Brokerage	859.60	802.06
Goods and Service Tax expenses	626.32	564.56
Other Expenditure	2,655.58	2,374.14*
Reimbursement From Group Companies	(16.43)	(18.47)
Total	11,214.79	10,873.07*

*Excludes total cost of ₹22.74 crore incurred on account of ZKGI divestment

Provisions and Contingencies (excluding tax)

Provisions and contingencies increased to ₹3,481.18 crore in FY 2025-26 from ₹2,942.36 crore in FY 2024-25, primarily due to elevated provisioning in retail unsecured and microcredit portfolios. Specific provisions on advances increased by ₹627.15 crore in FY 2025-26 as compared to ₹1,089.84 crore increase in FY 2024-25, reflecting a more conservative provisioning stance amid sector-wide stress in unsecured retail and microfinance. Credit cost increased modestly to 65 bps in FY 2025-26 from 60 bps in FY 2024-25. The Bank continues to maintain prudent overlays, including ₹146.10 crore of residual Covid-related provisions, reinforcing balance sheet resilience.

BANK STANDALONE BALANCE SHEET

The Bank's Balance Sheet remained resilient and well diversified, anchored in stable funding, disciplined asset growth and prudent risk management. The capital position remained robust, with capital adequacy ratio at 22.40% and CET 1 ratio at 21.34% as at 31st March, 2026, comparable to 22.25% and 21.10% respectively as at 31st March, 2025. The increase in CET 1 was largely driven by profit generated during the year and higher AFS reserves (on account of investment valuation gains).

The Bank maintained an investment portfolio at ₹172,535.43 crore as at 31st March, 2026 comprising predominantly government securities and high-quality debt instruments. The portfolio management remained focused on liquidity, regulatory compliance and prudent interest rate positioning. Borrowings declined to ₹32,475.00 crore from ₹48,442.76 crore. The funding mix continues to be optimised to balance cost efficiency with stability.

(₹ in crore)

Liabilities	31 st March, 2026	31 st March, 2025
Capital & Reserves and Surplus	135,198.59	117,145.62
Deposits	572,456.13	499,055.13
- Current Account Deposits (CA)	101,647.02	82,860.62
- Fixed Rate Savings Account Deposits (SA)	132,369.24	111,949.60
- Floating Rate Savings Account Deposits (SA)	13,706.68	19,605.67
- Term Deposits (TD) Sweep	57,603.99	55,626.52
- Other TDs	267,129.20	229,012.72
Borrowings	32,475.00	48,442.76
Other Liabilities and Provisions*	42,873.05	28,980.67
Total	783,002.76	693,624.18

*Includes Employees' Stock Options (Grants) Outstanding of ₹113.12 crore as at 31st March, 2026 (₹94.27 crore as at 31st March, 2025).

(₹ in crore)

Assets	31 st March, 2026	31 st March, 2025
Cash and Bank Balances	84,088.94	65,779.15
Investments	172,535.43	181,907.45
- Government Securities	122,641.49	132,458.57
- Credit Substitutes	31,460.70	33,538.79
- Other Securities	18,433.24	15,910.09
Advances	496,009.16	426,909.20
Fixed Assets and Other Assets	30,369.23	19,028.38
Total	783,002.76	693,624.18

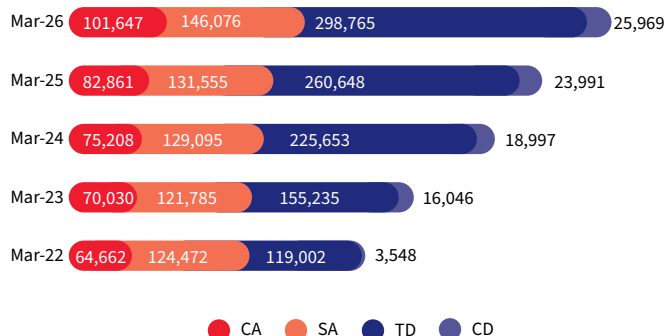
Deposits

The deposits franchise remains a core structural strength, anchored in a granular, high-quality and relatively low-cost deposits base. Total deposits grew 14.71% to ₹572,456.13 crore led by strong traction in low- cost granular deposits, sustained customer acquisition and deeper engagement.

CASA deposits increased to ₹247,723.06 crore, with the CASA ratio improving to 43.27%. This was led by 22.67% YoY growth in current accounts balances to ₹101,647.02 crore and an 18.24% YoY growth in the fixed rate savings account balances to ₹132,369.24 crore as at 31st March, 2026, remaining resilient despite competitive intensity. Reliance on high-cost floating rate saving account reduced meaningfully, declining 30.09% YoY.

The term deposits, including the certificate of deposits, grew 14.09% YoY to ₹324,733.22 crore, reflecting continued franchise strength even as customers sought higher-yield alternatives. The quality and granularity of the deposits base continue to provide structural funding advantage and support repricing flexibility across rate cycles.

Deposits (₹ in crore)



Advances

Advances growth remained healthy and broad-based across key segments with net advances growing 16.19% YoY to ₹496,009.16 crore and total customer assets growing 14.20% YoY to ₹545,715.68 crore. Growth was driven by Small and Medium Enterprises (SME) lending, with expanded 19.42% YoY at ₹122,657.49 crore, alongside mortgages (home loans and LAP) growing 18.61% YoY at ₹150,944.83 crore and 21.32% YoY growth in the corporate banking book to ₹116,312.23 crore. The unsecured retail advances (incl. retail microcredit) stood at 8.90% of Net Advances as at 31st March, 2026. The portfolio mix remained well balanced across retail, institutional and independent product businesses. The credit-deposit ratio increased marginally to 86.65%, reflecting disciplined asset growth supported by strong and sustained deposit mobilisation.



(₹ in crore)

Particulars	31 st March, 2026	31 st March, 2025
Retail Banking	201,467.89	177,656.86
Home Loans and Loan Against Property	150,944.83	127,266.44
Personal Loans, Business Loans and Consumer Durables	25,671.96	24,817.79
Credit Cards	12,293.77	13,420.01
Retail Microcredit	6,188.30	6,754.41
Others	6,369.03	5,398.21
Institutional Banking	246,797.50	205,946.09
Corporate Banking	116,312.23	95,873.88
SME	122,657.49	102,707.31
Others	7,827.78	7,364.90
Independent Product Business	65,989.59	60,713.30
CV/CE	45,905.63	43,007.67
Tractor Finance	20,083.95	17,705.63
Advances (A)	514,254.98	444,316.25
Credit Substitutes	31,460.70	33,538.79
Customer Assets (A+B)	545,715.68	477,855.04
IBPC and BRDS (C)	18,245.82	17,407.05
Net Advances (A-C)	496,009.16	426,909.20

Asset Quality

Asset quality remained strong despite stress in specific retail unsecured and microcredit segments. Gross NPA declined to ₹6,017.81 crore, with GNPA improving to 1.20% as at 31st March, 2026 from 1.42% as at 31st March, 2025. Net NPA improved to 0.25% as at 31st March, 2026 from 0.31% as at 31st March, 2025. Slippages for FY 2025-26 were ₹6,063.32 crore, lower than ₹6,378.62 crore in FY 2024-25. Provision coverage ratio (including technical write-offs) remained robust at 80.49%, while total provisioning on advances stood at ₹7,254.38 crore.

These trends reflect disciplined underwriting, strong risk management and an effective recovery framework. Asset quality was further supported by improved collection efficiency and tighter underwriting in retail unsecured segments, backed by data-led risk models and analytics-driven controls.

(₹ in crore)

Particulars	31 st March, 2026	31 st March, 2025
Gross NPA	6,017.81	6,133.85
Gross NPA Ratio	1.20%	1.42%
Net NPA	1,262.51	1,343.44
Net NPA Ratio	0.25%	0.31%

Restructuring

Standard Restructured Fund Based outstanding under the Covid resolution frameworks was ₹74.77 crore as at 31st March, 2026 (0.02% of Net Advances) and under Micro, Small and Medium Enterprises (MSME) resolution frameworks was ₹57.48 crore as at 31st March, 2026 (0.01% of Net Advances). The Bank has maintained restructuring provision of ₹37.55 crore as at 31st March, 2026.

OVERVIEW OF DIVISIONAL PERFORMANCE ACROSS KOTAK'S FOUR GROWTH ENGINES

Kotak's value creation is anchored in four engines of growth, namely, **Banking and Lending**, **Capital Markets**, **Asset Management** and **Protection**. These are operated through your Bank and its 100% beneficially owned subsidiaries. The Bank executes its strategy through **three pillars**, namely, Focus Customer Segment Propositions, Independent Product Businesses within the Bank and Technology, Digital & AI.

BANKING AND LENDING

Banking activities are undertaken by the Bank, whereas lending activities are undertaken by the Bank and its subsidiaries, namely, Kotak Mahindra Prime Limited (KMPL), Kotak Mahindra Investments Limited (KMIL) and Kotak Infrastructure Debt Fund Limited (KIDFL) also aided by BSS Sonata Microcredit Limited, as a Business Correspondent.

Subsequent to the year end, as part of strategic realignment, the commercial banking business was integrated into the retail and institutional business portfolios. Accordingly, the Bank reorganised its banking operations into retail, institutional and independent product businesses to drive sharper focus, scalability and execution.

RETAIL BUSINESS

The retail business serves customers across life stages, income segments and geographies, addressing diverse financial needs through differentiated propositions. The franchise spans digitally active Core India customers, salaried and self-employed individuals, affluent and emerging High-Net-Worth Individual (HNIs), HNIs, Ultra-HNIs, Non-Resident Indians (NRIs) and women borrowers for microcredit. Customer engagement follows a progressive lifecycle model, starting with every day, digital-first banking and deepening into credit, investment and advisory relationships as customers mature.

The Bank also supports small businesses, retail institutions and government-linked segments through integrated transaction, deposit and credit offerings. Delivery is enabled through an omni-channel model spanning branches, digital platforms and voice-led assisted servicing, ensuring consistency across customer segments and use cases.

The product and services architecture is built around customers' core financial needs - Save, Borrow, Invest, Protect, Transact and Pay. The deposits franchise anchors the customer relationships offering savings, current accounts, term deposits, ActivMoney (sweep deposits), while the lending portfolio spans mortgages (home loans and loans against property), personal loans, business loans, credit cards and microcredit. Payments, tax and transaction banking services further embed the Bank into customers' everyday financial activities, strengthening engagement and relationship depth.

Together, these offerings enable deeper customer relationships across deposits, credit, payments and investments through Kotak's integrated physical, digital and voice assisted servicing model.

Strengthening the Deposits Franchise

The deposits franchise remains the foundation of customer relationships and a stable funding base. Kotak's deposit strategy has evolved from product-led mobilisation to a customer segment-led model, focused on deepening engagement across households, businesses and life stages.

The strategy is built around three complementary engines:

- Consumption-led liabilities - Capturing high-frequency customer flows through everyday payments and transaction behaviour
- Investment-led liabilities - Linking SIPs, demat, trading and investment journeys to build sustainable balances
- Asset-led liabilities - Deepening banking relationships with borrowers to capture a larger share of primary banking wallet

Through these levers, the Bank delivered steady deposit growth during FY 2025-26, with current accounts growing strongly on the back of SME, business banking and LAP relationships driving acquisition and engagement, and savings deposits increasing with continued customer acquisition and deeper relationships, while term deposits provided stability to the funding profile, resulting in a resilient CASA ratio of 43.27% as at 31st March, 2026.

During FY 2025-26, the Bank strengthened its focus on household relationship value, including family banking and joint relationships. This helped improve wallet share and value per relationship. To support this shift, the Bank simplified its savings and current account product suite, making propositions easier to understand, deliver and scale. Segmentation remained central to strategy. New propositions such as Privy, Privy+, Privy Business and Privy+ Business targeted higher-value retail and business customers with stronger balance potential and cross-sell opportunities. Lifecycle programmes such as Ascend (students and early earners) and Naman (senior citizens) further strengthened engagement across life stages. Digitally-enabled onboarding through unified journeys with minimal documentation drove execution. Kotak811 continued to drive scalable, low-cost customer acquisition, contributing to a stable and granular deposit base. Within the existing base, focus remained on savings account balance growth and relationship deepening through cross-sell of investment and insurance products, transaction-led engagement and solution-oriented servicing.

Overall, Kotak's liabilities strategy remains focused on segmentation, simplification, digital enablement and relationship-led banking, creating a granular and resilient deposit franchise.

Building momentum on Advances book while managing risk

Kotak's advances strategy supports customers across life stages, business stages and geographies while delivering sustainable, risk-adjusted growth. The franchise is anchored in a balanced portfolio of secured and unsecured products. These products help the Bank deepen relationships, optimise portfolio mix and generate returns while maintaining prudent risk discipline. Overall growth remained balanced, with emphasis on customer selection, disciplined and analytics-led underwriting, superior credit evaluation, collections discipline and digital enablement across origination and servicing journeys. Credit performance improved through the year reflecting stabilising portfolio behaviour, supported by recoveries in granular retail portfolios and improved risk controls through data-led risk models and analytics-driven controls.

Secured Lending

Mortgages (home loans and loans against property) remain core to building long-term customer relationships, particularly in affluent and self-employed segments. Mortgage balances grew 18.48% YoY, supported by improved distribution, faster turnaround times and digital journeys.

Gold loans emerged as a high-growth segment, driven by higher gold prices and demand for secured liquidity. The Bank expanded distribution across 1,250 branches, with the business positioned for scale over the medium term.

Unsecured Lending

The Bank's unsecured retail lending portfolio, comprising personal loans, business loans, credit cards and microcredit, continues to drive high yield and engagement, while being managed through sharp customer selection, data-led risk analytics and digital journeys to generate risk-adjusted returns.

Personal loan (excluding Standard Chartered portfolio) grew during the year, led by salaried customers and expanded digital origination journeys. Credit performance remained stable, supported by tighter underwriting, data-driven analytics and stronger risk controls, with disbursements largely focused on existing customers.

Business Loans serve MSMEs and self-employed customers through unsecured lending solutions, driving healthy growth with strong portfolio quality while meeting their expansion and liquidity needs.

Credit cards continue to remain a key driver of customer engagement and stickiness. The portfolio was restacked through segment-specific launches such as Solitaire, Air+, Air and Cashback+, aligned to the Bank's 'right product to right customer' strategy. Solitaire scaled well in the affluent and emerging HNI segment, while Air+ and Cashback+ gained traction across emerging and mass segments, supported by data models and analytics.

The microcredit business operated in a challenging industry environment during FY 2025-26, with industry AUM declining by 16.1% between March, 2025 and December, 2025 before showing early signs of stabilisation with 3.3% quarter-on-quarter growth in Q4FY26. The Bank's microcredit portfolio contracted by 15.5% over the same period, followed by a recovery with 8.4% QoQ growth in Q4FY26. The Bank responded with a focus on portfolio quality, risk-based underwriting and collections discipline. While credit costs remained elevated, they declined sequentially across quarters, indicating improving portfolio behaviour. Portfolios originated using a risk-profile-based underwriting models continued to perform better, and eligible loans were covered under the Credit Guarantee Fund for Micro Units (CGFMU) scheme to help mitigate unforeseen future credit costs.

Structurally, the merger of Sonata Finance into BSS created a scaled microfinance platform (BSS Sonata Microcredit Limited). Integration efforts are focused on standardising operating models, migrating to a common technology platform and strengthening underwriting and monitoring. The business continues to leverage its 1,499 Business Correspondents (BC) branch network, with a sharper focus on quality sourcing and disciplined growth.

Overall, the advances strategy remains anchored in balanced growth, sharper customer selection and risk-adjusted returns, strengthening portfolio quality. By combining secured, relationship-led products with high-yield, customer-selected lending, enterprise finance and Bharat-focused inclusion lending, the Bank continues to build a diversified and resilient advances franchise.

Omni-Channel Delivery

The Bank's distribution model is anchored in an integrated omni-channel approach spanning branches, digital platforms and voice-led assisted channels, enabling a consistent and scalable customer experience across products and segments. These channels support the Bank's 'One Kotak' agenda across banking, lending, investments, insurance, payments and servicing.

Branches remain the primary channel for relationship management and fulfilment, particularly for affluent, self-employed and business customers. The Bank follows a persona-led design approach, with each branch tailored to the dominant customer segment in its catchment area. Network expansion is guided by targeted micro-market selection in high-potential locations, strengthening customer proximity and deepening local engagement, with 128 branches added during the year. Branches are progressively evolving into integrated 'One Kotak' destinations, enabling cross-sell and advisory-led engagement as routine transactions shift to digital channels. This transition is supported by decongestion, digitisation and differentiation initiatives, with an increasing share of transactions moving to self-service channels, improving operational efficiency and turnaround times, and enabling a greater focus on high-value, advisory-led interactions.

Digital platforms anchor acquisition, engagement and lifecycle management at scale across a suite of customer-centric platforms delivered through mobile, web and conversational interfaces reflected in a monthly active user base of 1.7 crore on Kotak Bank's Apps in March 2026.

- **Kotak Bank App** serves as the flagship digital platform, integrating banking, payments, cards, lending, investments, insurance and servicing within a unified, intuitive interface, enabling a seamless end-to-end financial ecosystem. It has seen strong adoption (4.6 Play Store, 4.7 App Store ratings) and supports both personal and business use cases, including seamless switching between profiles, with over 0.5 million SME users onboarded across use cases such as collections, payments, loans, approvals and service requests. The platform enables comprehensive self-service journeys across payments, transfers (domestic and international), deposits, loans and servicing, reducing branch dependency and improving customer convenience. Built on a scalable, cloud-native architecture, the platform enhances self-service capabilities and enables faster product fulfilment. It delivers integrated personal and business journeys, supports cross-sell across banking, investments, insurance and lending within the 'One Kotak' ecosystem.
- **Website** complements the Bank's Digital platforms apps by driving acquisition, product discovery and servicing at scale, with improved navigation and journey design enhancing customer conversion. Migration to the '.bank.in' domain further strengthens trust and cybersecurity.

Voice-led assisted servicing acts as an always-on, assisted servicing layer complementing physical and digital channels. It enables customers to access services, resolve queries and complete transactions seamlessly without visiting a branch. Built on a centralised, digitally-enabled platform, it supports features such as click-to-call and proactive outreach. This has improved turnaround times, enhanced accessibility especially for remote and NR customers, reduced branch load thereby allowing teams to focus on advisory-led interactions.

Overall, the omni-channel model enables the Bank to combine reach, convenience and relationship depth. Branches support trust, advisory and high-value engagement; voice channels provide assisted access and resolution; and digital platforms deliver scalable acquisition, self-service and lifecycle engagement. This integrated model allows the Bank to serve customers more consistently across segments while improving productivity, convenience and relationship value.

Digital Payments

Digital Payments are a key engagement layer in the Bank's customer franchise, enabling seamless transaction experiences across channels. The payments ecosystem spans UPI, bill payments, cards and merchant solutions, supported by intuitive digital journeys across the Bank's apps and platforms. During FY 2025-26, the Bank continued to see strong traction in digital payments. The Bank was ranked among the top 10 UPI Apps for customer-initiated transactions in March 2026, as per NPCI listings. Reflecting its scale and adoption. Bill Payments also recorded healthy growth during the year, supported by higher usage across the Bank's digital platforms and an enhanced customer experience. The payments franchise strengthens customer stickiness by increasing transaction intensity and embedding the Bank more deeply into customers' daily financial lives. The Bank continues to scale its digital payments business through innovation, improved journey design and data-led personalisation.

Customer 360

Kotak is transitioning from a product-led to a customer segment-led model, enabled by integrated customer data and digital decisioning. Integrated digital platforms equipped relationship managers with real-time insights through analytics dashboards and propensity models, enabling a unified 360° customer view, enabling contextual engagement, personalised product recommendations and improved conversion and retention. This data-driven approach enables the Bank to use data, digital journeys and frontline enablement to deepen engagement, improve relationship value and deliver more relevant solutions across customer life stages.

Customer Care & Contact Centre

The Bank's customer experience strategy focuses on delivering simple, secure and seamless interactions across channels. During FY 2025-26, key initiatives included simplifying customer access through unified contact points, strengthening grievance prevention through process enhancements, enabling faster resolution through analytics-led insights and root-cause tracking.

Customer safety remains a priority, with advanced fraud detection frameworks and early-warning systems enabling proactive risk management. Targeted awareness campaigns further strengthened customer protection against emerging fraud risks. Feedback through Relationship and Transaction NPS continues to guide ongoing improvements, supporting stronger service outcomes and customer trust.

INSTITUTIONAL BUSINESSES

The Institutional business serves a diverse set of corporate customer segments, including large Indian corporates, conglomerates, financial institutions, public sector undertakings, multinational companies, financial sponsors (including private equity funds and foreign portfolio investors), new-age companies, small and medium enterprises (SMEs) and realty businesses.



The business offers a comprehensive suite of solutions, including working capital and term finance, project finance, trade and supply chain finance and offshore funding through GIFT City and DIFC. It also provides foreign exchange services, transaction banking, treasury services, custody services, debt capital markets, structured and advisory solutions, distressed asset management and credit substitutes.

SME: Growth Engine

India's SME sector remains a critical pillar of economic growth, contributing significantly to GDP, exports and employment, with increasing formalisation, improved credit discipline and rapid digital adoption expanding the addressable opportunity. With SME credit outstanding at approximately ₹37 lakh crore and growing at double-digit rates, the segment offers significant long-term growth potential.

Kotak's SME franchise operates across three focused sub-segments:

- **Corporate SME:** Serves mid-sized and emerging enterprises with working capital, term finance, trade and non-fund solutions. The segment grew 16.67% YoY in FY 2025-26, driven by sustained momentum in new business origination while maintaining stable spreads.
- **Business Banking:** Serves smaller enterprises through a portfolio-led model supported by a dedicated acquisition engine. The segment grew 23.98% YoY in FY 2025-26, supported by healthy working capital demand across sectors.
- **Agri SME:** Serves the post-harvest agricultural value chain, including traders, processors and agri ecosystem participants, through a cluster-led approach aligned to priority sector objectives. The segment grew 15.43% YoY in FY 2025-26, driven by deeper customer engagement, cross-sell, higher fee income and continued New-to-Bank (NTB) acquisitions.

Growth was driven by customer acquisition, improved product mix, deeper current account penetration and stronger cross-sell across lending, payments and trade solutions. Asset quality remained stable, supported by disciplined underwriting and proactive monitoring.

Technology remains a key enabler. During FY 2025-26, Kotak made further progress building a unified digital SME platform spanning sourcing, underwriting, credit and operations. Process automation and workflow digitisation improved turnaround time, operational efficiency and customer experience.

Building a Resilient and Diversified Business Model for Corporate Banking

FY 2025-26 was marked by global uncertainty, geopolitical tensions and volatile business sentiment, resulting in muted corporate credit demand in the first half of the year. Activity improved in the second half, particularly across wholesale trade, commercial real estate and lending to NBFCs.

Against this backdrop, Kotak's Corporate Banking franchise delivered disciplined, profitable growth, supported by a continued shift toward a diversified and capital-efficient model. The business reduced reliance on spread-based income while scaling fee-based, transaction and flow-driven revenues, enhancing resilience across cycles. In the environment where the benchmark repo rate fell sharply, profitability was supported by pricing discipline and deeper participation in non-credit businesses, including transaction banking, trade finance and capital markets. The asset quality remained robust. Technology investments were significantly accelerated during the year, particularly across transaction banking, custody and client servicing platforms. These investments enhanced system resilience, supported liability mandate wins, drove digitisation of transactions and improved mid-office productivity. Customer experience also strengthened, reflected in improved satisfaction metrics.

The franchise strengthened its market position further with multiple recognitions including at the Euromoney Awards for Excellence, 2025 for the following:

- India's Best Bank for Large Corporates in India
- India's Best Investment Bank for Financing
- India's Best Transaction Bank

Mid-Market: Granular Growth

The franchise continues to prioritise granular, diversified growth. In line with this philosophy, it grew its Mid-Market segment significantly faster than the rest of the segments. Growth during the year was supported by healthy new-to-bank customer additions, resulting in a diversified portfolio with a significant share of working capital and flow-based businesses and strong cross-sell potential. Referral-led sourcing (including promoter relationships from other businesses) has emerged as a meaningful driver of customer acquisition.

Large Corporates: Leveraging Centres of Excellence

The Corporate Banking franchise has built specialised capabilities and developed them into Centres of Excellence for large corporate clients: Infrastructure Financing, Real Estate Financing, Financial Institutions, Financial Sponsors, Multi-National companies, New-age Companies Banking, enabling expertise in select segments and maintaining healthy profitability in a competitive environment.

Infrastructure Financing

The Corporate Bank follows a calibrated growth strategy in Infrastructure, focusing on high-rated borrowers and diversification across sectors and ownership structures, with emphasis on platforms backed by reputed sponsors including private equity and pension funds. The franchise delivers customised solutions aligned to project lifecycle stages, product requirements and transaction-specific needs, supported by capabilities in debt capital markets through its structuring, syndication and underwriting capabilities. During FY 2025-26, the Corporate Bank scaled its presence across roads, renewables and digital infrastructure including data centres, while also deepening participation through InvIT investments backed by high-quality sponsors. The business remained focused on diversification and disciplined risk-return evaluation.

Real Estate Financing

FY 2025-26 was a year of steady progress for the business marked by balanced growth across the portfolio while navigating a competitive operating environment. The business continued to scale with healthy expansion in the overall book and sustained momentum in new originations, supported by deep relationships with established developers and a diversified exposure profile across asset classes and geographies. Focus remained on selectively building the book through quality transactions, including redevelopment, acquisition financing, and structured deals, while also adding new-to-bank clients to strengthen the future pipeline.

Financial Institutions

The Financial Institution segment remains an important focus area for the Corporate Bank. The portfolio continued to maintain strong asset quality while growth was pursued selectively with emphasis on opportunities offering appropriate risk adjusted returns. The franchise continued to support priority sector related requirements through on-lending to NBFCs and remained disciplined in its underwriting and portfolio selection approach.

Financial Sponsors

The Corporate Bank has a dedicated coverage team to focus on financial sponsors and their portfolio companies, providing solutions across banking, transaction banking, remittances, custody, escrow, structured finance and debt capital markets. The business continues to benefit from strong relationships with leading funds and has established a meaningful presence in transaction flows in this segment. This segment has demonstrated robust performance, achieving a strong growth in income and book size in the past few years. The Corporate Bank expects that this segment will be a significant lever in the growth going forward.

Multinational Companies

India remains an attractive destination for multinational companies, supported by strong domestic demand, manufacturing opportunities and a favourable long-term outlook. The Corporate Bank works closely with multinational clients from the time they enter India, providing solutions across lending, forex and transaction banking while also providing strategic event driven solutions for capital raising and acquisitions. The Corporate Bank continues to strengthen coverage through a corridor-led strategy supported by dedicated country desks and international partnerships. During FY 2025-26, the Korea desk delivered strong momentum while the Japan and Taiwan desks continued to build a strong pipeline.

New-Age Companies Banking

Start-up / New Age Companies Banking is a rapidly growing franchise within the Corporate Bank, leveraging deep ecosystem understanding to deliver customised solutions in a fast-paced environment. The Corporate Bank offers a digital banking stack supporting scalability across payments, collections, trade, working capital and API-led services. The franchise is further strengthened by deep engagement with the venture capital ecosystem for early access to funded startups, and a fast-tracked credit framework for portfolio companies of leading VC firms.

Credit Substitutes

The Corporate Bank has built a significant credit substitute book driven by customer preferences and strengthening capital markets. The growth in the book is largely dependent on the movement of interest rates and pricing vis-à-vis loans. The portfolio complements the advances book and provides flexibility in meeting client financing requirements across market conditions. During FY 2025-26, the credit substitute portfolio moderated in favour of the advances book reflecting interest rate movements in the market.

Niche Businesses

Kotak continues to scale fee-led, capital-efficient businesses within its institutional franchise, enhancing earnings quality and diversification beyond lending. These differentiated businesses have established leading positions in their respective domains and play a critical role in expanding reach across customer segments, delivering integrated solutions that leverage the strength of the conglomerate and reinforce overall franchise value.



Syndication and Debt Capital Markets

The Corporate Bank has strengthened its role as a comprehensive financing partner by arranging debt for clients from the capital market and loan markets. During FY 2025-26, the division delivered healthy growth in debt placements and recorded fee income at an all-time high for the second consecutive year. The Bank led the closure of several marquee transactions across corporates, real estate and infrastructure, spanning high-grade and high-yield bond issuances. With regulatory permission for banks to participate in acquisition financing, the Bank's addressable opportunity has expanded meaningfully. The Bank is leveraging the 'One Kotak' Platform to capitalise on this opportunity.

Custody Services

The custody business continues to strengthen its position as one of India's largest home-grown offshore custodians, supported by robust domestic markets and increasing global integration. FY 2025-26 saw a dynamic environment, with subdued offshore flows amid volatility partly offset by strong domestic participation. Against this backdrop, the Bank expanded its franchise, onboarding new mandates across both domestic and offshore segments. The Global Custody offering gained traction, supported by the GIFT platform, enabling a unified proposition combining domestic leadership with offshore capabilities. This positions the Bank well to benefit from the convergence of domestic and global flows, while reinforcing its focus on comprehensive, future-ready custody solutions and supporting Current Account balance accretion.

Asset Reconstruction Division (ARD)

ARD focuses on value-accretive opportunities in stressed and distressed assets, including investments in Security Receipts (SRs), acquisition of NPA portfolios and select structured funding. With nearly two decades of experience, the division has built strong expertise in resolution and recovery, supported by disciplined underwriting, rigorous cash flow assessment and robust collateralisation. The operating environment remains supportive, aided by improvements in the Insolvency and Bankruptcy Code (IBC)-led resolution framework. During FY 2025-26, the division deployed capital selectively across stressed assets and structured funding, while actively tracking opportunities across corporate and retail segments.

Focus on Transaction Banking to Capture Flows

The Bank continued to strengthen its transaction banking franchise by increasing participation in customer flows through trade finance, supply chain solutions and cash management services. The team remains focused on deepening operating relationships with clients by supporting their day-to-day banking requirements across trade, collections, payments and liquidity management.

Trade and Supply Chain

The Corporate Bank continued to invest in product capabilities, sales expertise and digitised trade solutions. This drove record performance across both on-balance sheet trade businesses, such as supply chain and export finance, and off-balance sheet products, including bank guarantees and letters of credit. Digitisation remained a key focus through platform upgrades, e-bank guarantees, trade APIs and expanded paperless capabilities. The eWayGo supply chain platform further enabled a seamless end-to-end digital financing journey through GST integration.

Cash Management Services

The Corporate Bank maintained a digital-first, solution-oriented approach, with collection and payment flows growing steadily on technology investment and new mandates including from BFSI and e-commerce clients, alongside increased adoption of UPI, NACH and card-based solutions and focused CASA mobilisation through transaction-linked and deal-based accounts. In-house digital platforms such as Sampark Setu (merchant lifecycle and onboarding), PLUTUS (real-time collections visibility and reconciliation) and the New-Age Payments Stack (API-led payouts with 24x7 processing), deepened penetration into mutual funds, payment aggregators and NBFCs. The Bank also strengthened capital-markets-linked flows, acting as Banker/Sponsor Bank in 43 IPOs (approximately ₹91,000 crore) and enhancing UPI-ASBA infrastructure, alongside launching a digital Escrow platform for end-to-end deal management and real-time monitoring.

Kotak fyn

Supporting the institutional clients, fyn is Kotak's integrated transaction banking platform, serving as a unified digital interface for corporate and institutional clients. The platform enables:

- Payments and collections management
- Liquidity and account monitoring
- Loan dashboard with limit management and instant one-click disbursements
- Trade journeys
- Workflow-driven approvals and servicing
- ERP integration and reconciliation

By embedding the Bank into clients' operational workflows, fyn enhances: Customer stickiness and wallet share, fee-based income opportunities and operating leverage through straight-through processing. As clients increasingly prioritise automation and real-time visibility, fyn strengthens Kotak's technology-led transaction banking proposition.

Robust Risk Management

Kotak's Corporate Bank continues to deliver profitable growth with strong portfolio quality. The portfolio remains well diversified, with disciplined oversight through defined limits at industry, group and single-name levels. This disciplined approach, combined with strong growth in mid-market segments, increasing contribution from funded and non-funded trade flows, and tight cost control, has supported stable profitability and healthy After-Tax Return on Equity (ATROE).

INDEPENDENT PRODUCT BUSINESSES

Tractor and Farm Equipment

During FY 2025-26, the tractor industry grew 23.47%, supported by favourable policy measures, subsidy support and positive monsoon conditions. The Bank pursued calibrated growth relative to industry momentum, prioritising portfolio quality and risk discipline. Growth was supported by a balanced sourcing mix across new tractor financing and refinance, along with deeper engagement with the existing customer base. The business continues to execute a geography-led expansion strategy, combining consolidation in mature markets with selective growth in underpenetrated regions. Digital sourcing, process automation and analytics-led underwriting and collections remain key to improving productivity, turnaround times and portfolio monitoring.

Commercial Vehicles

During FY 2025-26, the Commercial Vehicles (CV) industry grew by approximately 13% in unit terms, with broad-based traction across segments, supported by GST-related pricing benefits and pre-buying ahead of anticipated OEM price revisions. Demand remained linked to freight movement and overall economic activity, with momentum across key categories during the year.

In this environment, the Bank adopted a calibrated growth approach, with continued focus on portfolio quality and disciplined underwriting. A cautious stance was maintained in select retail segments in view of emerging stress indicators, resulting in measured growth with emphasis on risk-adjusted returns and portfolio resilience. Retail sourcing was driven through dealer and OEM partnerships for scale, while relationship-led sourcing focused on fleet operators and higher-value customers. Refinance continued to contribute meaningfully, supported by a strong repeat customer base. The business also strengthened execution through improved processes, tighter credit filters in select segments and enhanced monitoring frameworks, supporting portfolio stability in a dynamic environment.

Construction Equipment

During FY 2025-26, the Construction Equipment (CE) industry declined by approximately 8% in unit terms, primarily due to slower infrastructure execution, impacted by constrained state finances, moderation in project awards, extended monsoons and raw material disruptions, particularly bitumen.

In this environment, the Bank adopted a disciplined and selective growth approach. Disbursements tracked industry trends, with focus on segments with better visibility of cash flows and execution. The business retained its market position through calibrated growth, supported by continued engagement with contractors, fleet owners and infrastructure-linked enterprises.

Risk management remained a key priority, with emphasis on disciplined underwriting, closer monitoring of project-linked exposures and tighter tracking of portfolio performance, particularly in segments exposed to execution delays.

PRIORITY SECTOR LENDING

The RBI's Priority Sector Lending (PSL) guidelines require banks to extend credit equivalent to 40.0% of Adjusted Net Bank Credit (ANBC) to specified priority sectors. Within this target, a minimum of 18.0% of ANBC must be allocated to agriculture, including sub-targets of 10.0% for Small and Marginal Farmers and 7.5% for Micro Enterprises. The RBI also prescribed a Non-Corporate Farmer lending target of 14.00% of ANBC for FY 2025-26 (FY 2024-25: 13.78%). In addition, banks are required to lend 12.0% of ANBC to borrowers classified under the Weaker Sections category. Any shortfall in meeting these targets is required to be deployed in funds maintained with government-sponsored development financial institutions, including the National Bank for Agriculture and Rural Development (NABARD), the Small Industries Development Bank of India (SIDBI), the National Housing Bank (NHB), MUDRA Limited and such other institutions as specified by the RBI from time to time. These deposits have maturities of up to seven years and typically earn below-market rates of interest.

Kotak in FY 2025-26 met regulatory requirements while optimising portfolio composition and returns. The Bank's average priority sector lending (PSL) stood at ₹153,092.76 crore, representing 43.05% of ANBC, above the regulatory requirement of 40%. PSL exposure is managed

through a mix of direct lending across agriculture, MSME and inclusion segments and Investments in eligible instruments (₹1,391.75 crore) and Active participation in the Priority Sector Lending Certificates (PSLCs) market. In FY 2025-26, the Bank has sold PSLCs amounting to ₹116,022.75 crore (FY 2024-25: ₹111,092.00 crore) and purchased PSLCs amounting to ₹59,166.00 crore (FY 2024-25: ₹22,831.50 crore).

OFFSHORE FRANCHISE

GIFT City Branch

The GIFT City branch continues to serve as a strategic hub for the Bank's offshore and international business. Catering to overseas, IFSC, and domestic clients, the branch offers a wide range of products including trade and term loans, deposits, and risk management solutions. The Corporate Bank also provides banking and custody services to Global Funds getting pooled in GIFT City and investing in overseas markets having good growth in activity in FY 2025-26. During FY 2025-26, the branch undertook focused initiatives to strengthen its digital and technology infrastructure, enhancing end-to-end client journeys and positioning itself for future scalability. The introduction of new trade finance products further strengthened the branch's ability to support clients across the trade lifecycle. In addition, the branch commenced offering wealth distribution products, diversifying its offerings beyond core lending and transaction banking services and aligning with evolving client needs. The branch remains committed to maintaining robust governance standards and a well-diversified portfolio, ensuring sustainable growth and profitability.

DIFC Branch

The Bank's DIFC branch accepts deposits and provides lending to professional clients (individuals and corporates who qualify as per Dubai Financial Services Authority rules) while also offering Private Banking services. The branch enhances the Bank's global capabilities through advisory and arrangement of global investment products leveraging its extensive network and relationships with international product manufacturers. During the year, it expanded its coverage to include Resident Indians for global investment solutions, in addition to its existing non-resident client base. It is also in the process of expanding its product suite to include investment execution services and trade finance offerings tailored to offshore customers.

TREASURY

Global markets in FY 2025-26 progressed through two distinct phases. In the first half, monetary easing expectations prevailed, with softer yields and a weaker US dollar. The latter part of year saw a sharp reversal driven by the West Asia conflict, rising oil prices and renewed inflation concerns. In India, bond yields softened in H1FY26 supported by RBI rate cuts and index inclusion flows, then reversed in H2FY26 as crude prices elevated and state borrowing supply increased. The 10-year G-Sec yield rose 56 bps over the year to 7.04%.

The Fixed Income desk positioned appropriately to capture the first-half move, then shifted to defensive positioning as yields rose in H2FY26. FX and derivatives business focused on conservative, short-term spread strategies given heightened global volatility, while the equities desk considerably reduced position size as equity markets saw volatility in Q4FY26. The Bullion desk saw robust volumes in consignment business in line with rising gold and silver prices globally. The Treasury Primary Dealer desk successfully achieved all regulatory targets for retail distribution, trading volumes and auction bidding. Balance Sheet Management Unit maintained liquidity ratios above prudential thresholds throughout the year, managing the Bank's ALM requirements optimally while ALCO maintained a cautious approach with conservative risk appetite across market risk, interest rate and liquidity gaps.

LENDING THROUGH SUBSIDIARIES

KOTAK MAHINDRA PRIME LIMITED

Kotak Mahindra Prime Limited (KMPL), the Group's vehicle financing franchise, provides financing solutions to retail customers for passenger cars, multi-utility vehicles and two-wheelers, and provides end-to-end, single-window financing to auto dealers to meet their working capital and infrastructure requirements through inventory funding and term loans. KMPL also extends loans against property (LAP) to customers for both business and personal needs.

Financial Performance

KMPL's performance in FY 2025-26 was led by balance sheet expansion, with total income increasing to ₹2,916.57 crore, supported by growth in earning assets and higher net interest income, which rose to ₹2,348.12 crore. However, profitability remained relatively stable, with Profit Before Tax at ₹1,342.09 crore in FY 2025-26 compared to ₹1,356.86 crore in the previous year. The increase in net interest income was largely offset by lower other income, primarily from treasury operations. Net Interest Margin moderated to 5.03% in FY 2025-26 from 5.24% in FY 2024-25. The margins in FY 2024-25 were benefitted on account of a large recovery of a prior year's write off. Profit After Tax stood at ₹1,007.59 crore.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Net Interest Income	2,348.12	2,133.42
Other Income	568.45	686.35
Total Income	2,916.57	2,819.77
Operating Expenses	1,208.72	1,123.38
Provisions (Net)	365.77	339.53
Profit Before Tax	1,342.09	1,356.86
Profit After Tax	1,007.59	1,015.47

Customer assets grew to ₹44,933.18 crore as at 31st March, 2026 from ₹40,122.51 crore as at 31st March, 2025, reflecting a growth of 12.00% YoY, driven by sustained traction across vehicle financing and LAP segments. The portfolio remains well diversified across retail vehicle financing, dealer funding and LAP exposures. Return on Assets moderated to 2.13% from 2.44%, due to lower other income.

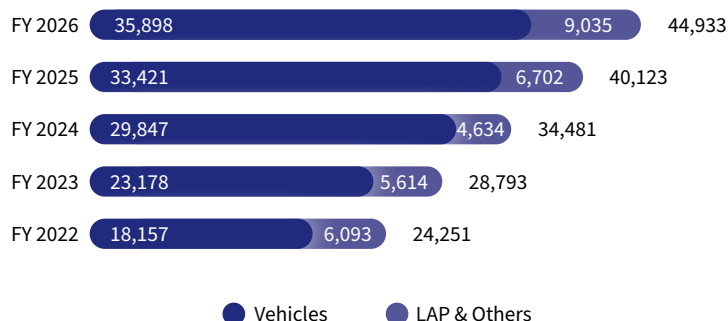
KMPL continues to maintain a strong capital position, with Capital Adequacy Ratio at 23.27% and CET 1 ratio at 22.83%, providing adequate headroom to support future growth. Asset quality remained stable, with Gross NPAs at ₹953.06 crore (2.10% of advances) and Net NPAs at ₹443.94 crore (0.99% of advances), underscoring disciplined underwriting and risk management practices.

(₹ in crore)

Particulars	31 st March, 2026	31 st March, 2025
Net Customer Assets*	44,933.18	40,122.51
- Car, Two-Wheeler and Car Dealers	35,898.45	33,420.62
- LAP and Others	9,034.72	6,701.89
Return on Assets	2.13%	2.44%
Capital Adequacy Ratio	23.27%	23.54%
CET 1	22.83%	23.07%
GNPA	2.10%	2.27%
NNPA	0.99%	0.98%

*comprises loans and credit substitutes

Customer Assets (₹ in crore)



Industry and Positioning

Passenger vehicle demand remained healthy during the year, supported by sustained traction in domestic car and MUV sales, while the two-wheeler segment continued to witness strong momentum. This growth was driven by a continued preference for personal mobility, improving supply conditions, ongoing infrastructure investments and supportive consumption trends.

Against this backdrop, KMPL continued to scale its franchise, leveraging strong OEM partnerships and its distribution footprint across branches and dealer ecosystems, while maintaining discipline on portfolio quality. Continued investments in technology and customer experience further strengthened and deepened engagement across dealers, channel partners and customers. KMPL's strategy remains focused on strengthening its positioning across retail and dealer financing, supported by its integrated business model.



Distribution Strength

KMPL operates 165 branches as at 31st March, 2026 compared to 159 branches in the previous year.

Technology

KMPL continues to invest in technology to improve operational efficiency, strengthen compliance and enhance customer experience. Key initiatives during the year included Aadhaar-based eKYC with face recognition for two-wheeler business and a digital loan origination platform for the LAP segment. Analytics capabilities were further leveraged to deepen customer insights, improve underwriting and enhance collections efficiency. In parallel, the implementation of a cloud-based compliance platform integrated with audit management tools has strengthened oversight. Together, these initiatives support process efficiency, tighter risk controls and scalable growth.

Recognitions and Tie ups

KMPL was recognised with the Best Financier Award (Wholesale Finance) in the Federation of Automobile Dealers Associations, India (FADA) Dealership Satisfaction Study 2025 and became the first financier in India to tie up with Tesla as a preferred financier, reinforcing its position in the evolving mobility landscape.

In conclusion, FY 2025-26 was characterised by balance sheet growth, set against moderation in margins and credit cost normalisation. With a well-capitalised Balance Sheet, stable asset quality and continued investments in technology and distribution, KMPL remains well positioned to capitalise on growth opportunities in the domestic mobility financing ecosystem.

KOTAK MAHINDRA INVESTMENTS LIMITED

Kotak Mahindra Investments Limited (KMIL) is the Group's wholesale lending entity, primarily engaged in real estate developer financing and corporate lending. As part of the Group's strategic simplification and regulatory alignment, and pursuant to RBI Directions, the business of KMIL will be conducted within the Bank from 1st April, 2026. Accordingly, KMIL will cease originating new loans and existing exposures will continue to be serviced and run down in line with contractual obligations. This transition is expected to enhance operational synergies, capital efficiency and governance alignment.

Financial Performance

PBT for FY 2025-26 at ₹570.64 crore was lower than ₹674.51 crore for FY 2024-25. The decline was primarily driven by lower interest income, reduced IPO income, and higher employee benefit expenses, partially offset by an increase in dividend income. PAT decreased by 14.52% to ₹428.48 crore for FY 2025-26 from ₹501.25 crore in FY 2024-25.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Net Interest Income	589.30	606.85
Other Income	129.59	188.00
Total Income	718.89	794.85
Operating Expenses	102.24	94.29
Provisions (Net)	46.01	26.05
Profit Before Tax	570.64	674.51
Profit After Tax	428.48	501.25

Net Customer assets increased to ₹11,466.99 crore as at 31st March, 2026 from ₹10,494.40 crore as at 31st March, 2025. This was primarily due to the strong performance of the underlying borrowers especially the real estate developers. NIM moderated to 4.63% for FY 2025-26 from 4.82% for FY 2024-25. Cost of funds was lower as compared to previous year. Gross NPA and Net NPA as at 31st March, 2026 was at ₹74.79 crore (0.68% of Advances) and ₹23.86 crore (0.22% of Advances) respectively

(₹ in crore)

Particulars	31 st March, 2026	31 st March, 2025
Net Customer Assets	11,466.99	10,494.40
Return on Assets	3.15%	3.68%
Capital Adequacy Ratio	35.64%	36.71%
CET 1	34.91%	35.98%

KOTAK INFRASTRUCTURE DEBT FUND LIMITED

Kotak Infrastructure Debt Fund Limited (KIDFL) is an Infrastructure Debt Fund, set up under the NBFC route. It is engaged in providing finance for infrastructure projects, having more than one year of satisfactory operational history.

During the year, KIDFL forged strong relationships with multiple infrastructure clients. It continues to be judicious about credit underwriting and selection of customers. Customer Assets increased by 8.72% to ₹1,698.01 crore as at 31st March, 2026 compared to ₹1,561.83 crore as at 31st March, 2025, supported by continued business growth. PBT increased by 13.89% to ₹60.26 crore from ₹52.91 crore on account of improvement in net interest margin.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Net Interest Income	57.90	47.55
Other Income	14.02	16.33
Total Income	71.92	63.88
Total Expenses including Provisions	11.66	10.97
Profit Before Tax	60.26	52.91
Profit After Tax	60.26	53.20

BSS SONATA MICROCREDIT LIMITED

BSS Sonata Microcredit Limited (formerly known as BSS Microfinance Limited) (BSML) is a wholly owned subsidiary of the Bank and operates as a Business Correspondent (BC) for the Bank. Pursuant to the Scheme of Amalgamation approved by NCLT, Sonata Finance Private Limited merged with BSS Microfinance Limited under the provisions of Sections 230 and 232 of the Companies Act, 2013 and the rules made thereunder. The Scheme has been made effective on and from 11th October, 2025 with appointed date 1st April, 2025. Following the merger, the entity was renamed as BSS Sonata Microcredit Limited.

As a Business Correspondent for the Bank, the primarily focus remains on extending microcredit loans to low-income households, particularly women from economically weaker sections, thereby advancing financial inclusion among underprivileged sections of the society. Loans originated under this model qualify for priority sector advances of the Bank.

Post-merger, the Bank has significantly expanded its geographical footprint and customer base. As of 31st March 2026, the business operated across 16 states through 1,499 branch offices, extending financial access to women borrowers at scale. Uttar Pradesh, Karnataka, Bihar, Madhya Pradesh, Maharashtra and Tamil Nadu together account for over 85% of the portfolio. With this expanded footprint and enhanced financial strength, efforts are underway to integrate technology platforms across Operations, Accounts, Human Resources and Audit, with a focus on improving efficiency, reducing costs and realising economies of scale.

Financial Performance

Over the past two years, the microfinance industry has faced heightened financial stress, largely driven by higher borrower indebtedness. Sector profitability remained under pressure due to elevated credit costs and operational expenses, while AUM growth slowed amid operational disruptions and excessive borrower leverage.

With this backdrop, BSML made a loss of ₹73.15 crore in FY 2025-26. However, performance showed positive trend in Q4FY26.

(₹ in crore)

Particulars	FY 2025-26*	FY 2024-25
Total Income	558.88	858.28
Total Expenses	647.05	957.61
Profit Before Tax	(88.17)	(99.34)
Profit After Tax	(73.15)	(73.67)

*Figures for the current year includes those of erstwhile amalgamating Company, Sonata Finance Private Limited and hence not comparable with the figures for the previous year.

CAPITAL MARKETS ENTITIES

KOTAK SECURITIES LIMITED

Kotak Securities Limited (KSL) is a full-service broking franchise serving retail and institutional clients across Indian capital markets. The platform offers a comprehensive suite spanning equity, derivatives (equities, commodities and currencies), mutual funds, margin trading, depository services and third-party distribution, supported by in-house research and advisory.

On the institutional side, Kotak Institutional Equities (KIE) serves global and domestic institutional investors through both high-touch and low-touch trading capabilities, research and advisory, corporate access and capital markets participation, and remains a leading institutional broker in India across IPOs, block trades and institutional issuances.

Financial Performance

Total income increased to ₹5,704.11 crore, while PBT remained largely flat at ₹2,183.92 crore and PAT at ₹1,641.90 crore, reflecting softer market conditions during the year and a moderation in volumes across equity cash and derivatives segments. In this environment, the decline in KSL's equity cash volumes was relatively contained compared to the broader market, while the business demonstrated resilience with growth in the equity derivatives segment.

The institutional business was also impacted by global volatility, coupled with moderated participation from global investors in Indian capital markets, which weighed on overall market activity. Against this backdrop, institutional segment volumes across both cash equities and derivatives remained largely flat year-on-year. Despite these conditions, KIE demonstrated resilience by registering growth in both cash and derivatives volumes, although yields across segments remained under pressure. The business continued to strengthen its franchise through steady client additions, while maintaining its leadership position in the distribution of capital market transactions, including IPOs, QIPs, open offers and the execution of block trades.

Despite the challenging environment, KSL strengthened its competitive positioning, with market share (excluding proprietary trades) improving across segments. Share in the equity derivatives segment expanded to 15.04% (FY 2025-26) from 12.86% (FY 2024-25) while the cash segment increased to 9.87% (FY 2025-26) from 9.38% (FY 2024-25), reflecting sustained client engagement and execution strength. In margin trading funding, the industry book crossed ₹1 lakh crore, with KSL ranking second and capturing a 14.20% market share, supported by competitive pricing and differentiated product offerings.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	5,704.11	5,348.40
Total Expenses	3,520.19	3,173.17
Profit Before Tax	2,183.92	2,175.23
Profit After Tax	1,641.90	1,640.46

Business Model and One Kotak Synergies

KSL operates as a core component of Kotak's integrated capital markets platform. Kotak Neo's integration with the Bank deepened significantly in FY 2025-26, enabling Neo account opening on the Kotak811 app, and the Bank's savings account opening within the Neo App creating a seamless, integrated Kotak ecosystem experience for customers. The experience was further enhanced through seamless fund transfers, with one-click deposits and instant payout for the Bank customers, delivering a frictionless cross-platform journey on the Neo app.

In the institutional segment, KIE operates as a key pillar of Kotak's integrated capital markets platform, serving global and domestic institutional investors with end-to-end Equity Capital Market (ECM) solutions in close collaboration with the Investment Bank (Kotak Mahindra Capital) and Corporate Bank (Kotak Mahindra Bank), reinforcing the Group's 'One Kotak' approach across segments enhancing client wallet share.

Retail Business Performance

The Kotak Neo App has evolved into a scaled, full-suite trading and investment platform, integrating Stocks, Mutual Funds, F&O, Commodities, ETFs, IPOs, Bonds and MTF within a unified interface. The platform combines advanced trading capabilities including trade from charts, Payoff Analyzer, Strategy Bot, Trade APIs, basket orders and sophisticated order functionalities, with institutional-grade research through curated in-house insights, enabling more informed decision-making and long-term wealth creation for retail investors.

The platform continues to demonstrate strong adoption momentum, surpassing 10 million downloads and maintaining high customer ratings of 4.4 on the Play Store and 4.7 on the App Store. Trading volumes grew by 22% YoY, with 96% of total orders being self-directed during FY 2025-26, reflecting increased customer engagement and a shift towards self-managed investing. The launch of Neo Trade APIs further strengthened execution capabilities and saw strong uptake among advanced users.

AI-led capabilities were further embedded through the launch of Neome, a Gen-AI assistant that integrates portfolio analytics, real-time market context, Kotak research and curated news, enabling faster insights and more contextual decision-making for customers.

Product enhancements during the year focused on simplifying trading and improving execution efficiency. Participation in derivatives was streamlined through pre-built F&O strategies and real-time tracking of active index contracts, supported by web-based back-testing tools that enable users to test strategies before deployment. Trading efficiency improved with the expansion of trade-from-charts functionality to the app, enabling real-time, in-chart execution, alongside advanced charting capabilities with auto-detection of candlestick patterns for technical traders.

On the investing side, the platform enhanced transparency and usability through an upgraded portfolio experience with an asset allocation dashboard, enabling seamless tracking across asset classes. Account statements were redesigned with simplified narrations and detailed drilldowns across Equity, MTF and F&O, improving clarity, while real-time corporate action updates enabled automated portfolio adjustments. Investment journeys for G-Secs, T-Bills and SDLs were further simplified through a streamlined four-step flow with one-click payments, delivering a more intuitive and efficient customer experience.

Customer Engagement was deepened through both digital and on-ground initiatives. Trader Café, flagship trader-focused engagement platform, was significantly scaled in FY 2025-26 to deepen connections with the trading community. The initiative facilitated direct engagement with over 6,000 traders across 14 cities, enabling meaningful conversations, knowledge exchange and valuable customer feedback. Also, launched 'Kotak Stockshaala', a free multilingual learning platform offering structured content on capital markets and personal finance. Collectively, these initiatives strengthened engagement across both new and existing customer segments.

Institutional Business Performance

KIE continued to strengthen its franchise by adding new clients, while maintaining its leadership position in the distribution of capital market transactions - IPOs, QIPs, open offers and execution of block trades. During the year, KIE played an active role in block transactions and capital market issuances, executing 59 ECM transactions including 28 block deals, 22 IPOs, 7 QIPs and 2 OFS transactions.

The research platform covers 310 stocks, representing approximately 71% of India's market capitalisation and continued to expand coverage during the year, with additions across new sectors and companies.

Distribution Strength

As on 31st March, 2026, KSL had a national footprint of 1,143 branches and franchisees across 306 cities in India serving its customers.

Technology

KSL undertook a foundational reset of its broking technology stack to enhance stability, resilience and scalability. Core trading and back-office systems were strengthened through migration to a low-latency infrastructure and improved network architecture. An enterprise AI platform was deployed across engineering to boost productivity and accelerate delivery, while enhanced monitoring, disaster recovery and technology operations further improved system reliability and responsiveness.

Marketing & Brand Impact

In FY 2025-26, an 'always-on' marketing approach was adopted to drive sustained brand visibility and engagement. Early in the year, the focus was on reinforcing Kotak Neo's value proposition through compelling pricing and differentiated features such as MTF, positioning the platform as enabling traders and investors to 'stay tez'. As the year progressed, the narrative evolved to highlight Kotak Neo's ability to cut through market noise and empower users to make smarter decisions through advanced tools, research-backed insights and a seamless trading experience. This strategic shift translated into a meaningful uplift in brand equity, with strong growth in spontaneous awareness during the year.

Awards and Recognition:

KSL received multiple industry recognitions for business excellence, digital innovation, marketing and branding initiatives:

Business Excellence

- Leading Member of the Exchange Award by MCX Awards, 2025
- Top performers in Equity Primary Market Segment (3 in 1 Accounts) and Best performers in Equity Derivatives (Retail) by BSE Awards, 2025



- The Great Indian BFSI – Overall Excellence in Financial Services Sector of the Year 2025 by BFSI Digital Stallions Forum
- Best Team Project in CI/CD (Capital Markets) by Quantic at the 7th India DevOps Show

Branding and Marketing

- Best Homepage Design 2025 by Exchange4Media at DigiOne Awards
- The Great Indian BFSI – Marketing Campaign of the Year 2025 by BFSI Digital Stallions Forum
- Best Use of Digital for Financial Literacy and Best Rebranding or Reinvention Strategy (Tez campaign) by Adgully at FINIXX Awards
- Best Financial Literacy Campaign (Edutainment Campaign) at afaqs Bankfin 360 Awards, 2025

Employee Excellence

- The Great Indian BFSI – Chief Operating Officer of the Year 2025 - Sandeep Chordia by BFSI Digital Stallions Forum
- The Great Indian BFSI - Woman Marketing Leader of the Year 2025 - Iti Mehrotra by BFSI Digital Stallions Forum

In conclusion, with a strengthened technology backbone, an expanding digital ecosystem, and a continued focus on customer engagement and acquisition, KSL is well positioned to drive scalable growth. Across segments, the focus remains on improving operational efficiency and deepening integration within the broader Kotak ecosystem to deliver a unified and differentiated client experience.

KOTAK MAHINDRA CAPITAL COMPANY LIMITED

Kotak Mahindra Capital Company (KMCC) is a leading, full-service investment bank in India, offering integrated solutions encompassing high-quality financial advisory services and financing solutions. The services include Equity Capital Market issuances, M&A Advisory and Private Equity Advisory.

Financial Performance

KMCC delivered a strong financial performance in FY 2025-26, driven by steady business activity and a one-time gain from the partial divestment of its stake in Infina Finance Private Limited (Infina). Total income increased to ₹689.19 crore, while profitability improved significantly, with PBT at ₹1,724.10 crore and PAT at ₹1,444.28 crore. This includes an exceptional gain of ₹1,277.13 crore from the sale of a 30.99% stake in Infina. Excluding this one-off, core operating performance remained stable, supported by steady deal execution. The transaction also reflects KMCC's ability to unlock value through strategic investments, while maintaining a continued stake in Infina.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	689.19	669.16
Total Expenses	242.22	208.63
Exceptional items*	1,277.13	-
Profit Before Tax	1,724.10	460.53
Profit After Tax	1,444.28	360.63

*On 24th March, 2026, KMCC divested 30.99% out of its total stake of 49.99% in its associate Infina Finance Private Limited (Infina) for a total consideration of ₹1,293.91 crore resulting in a pre-tax gain of ₹1,277.13 crore (net of expenses). Profit on sale of shares of Infina has been disclosed as an exceptional item in the financial statements for the year ended 31st March, 2026. Consequent to this sale, Infina ceases to be an associate company of KMCC with effect from 24th March, 2026. KMCC continues to hold 19.00% stake in Infina as at 31st March, 2026.

Equity Capital Markets

FY 2025-26 was a volatile year for Indian equity markets, driven by geopolitical uncertainties, shifting global macro conditions and sustained FII outflows that weighed on sentiment. Despite this, it remained a robust year for capital markets, marked by resilient domestic institutional inflows, record IPO activity, strong investor participation and sustained capital raising across sectors, reflecting growing market depth and strong domestic fundamentals.

Despite moderation in primary issuances, capital markets activity remained broad-based across sectors, with marquee transactions in the new-age technology space. KMCC continues to be a leading investment bank and a preferred left lead banker, with a strong track record across high-profile mandates, including Tata Capital, Lenskart, Billionbrains Garage Ventures (Groww), Meesho, Knowledge Realty Trust, Physicswallah, Fractal Analytics, Travel Food Services, Urban Company and Amagi Media Labs.

During FY 2025-26, KMCC successfully executed a strong transactions pipeline, completing 22 IPOs (including REITs / InvITs) and 7 QIPs (including REIT / InvIT QIPs), raising a total of ₹176,302 crore. The franchise led several landmark deals, including the largest NBFC IPO in Indian capital markets history - Tata Capital (₹15,512 crore), the largest investment platform IPO – Groww (₹6,632 crore), the largest e-Commerce marketplace IPI - Meesho (₹5,421 crore), the largest hospitality IPO - The Leela Hotels (₹3,500 crore) and the largest QIP - State Bank of India (₹25,000 crore).

Mergers & Acquisitions and Private Equity Advisory:

M&A activity in India remained broadly stable in FY 2025-26, with total deal value at approximately USD 111 billion, marginally lower than the previous year, while deal volumes declined slightly. Average deal size remained stable, reflecting continued activity across mid-sized transactions. Financial sponsors continued to play a significant role, accounting for approximately 38% of total deal value, while cross-border transactions and strategic buyouts remained key contributors across sectors such as financial services, technology, healthcare and consumer.

In this environment, KMCC was ranked #2 by deal volume in the India M&A league tables in FY 2025-26 (Source: Bloomberg). The firm advised on 15 transactions during the year, with a total disclosed deal value of approximately USD 4.6 billion, spanning acquisitions, divestments, private equity investments and open offers across a diversified sector mix.

Execution during the year was supported by a pipeline of high-quality, marquee mandates, including transactions involving global sponsors, multinational corporations and leading domestic groups. Notable mandates included advisory roles on stake sales, strategic investments and open offers across healthcare, digital platforms, consumer businesses and industrial sectors, reflecting the breadth of the franchise and its ability to execute complex transactions.

The business continues to benefit from strong sponsor relationships, cross-border capabilities and integration within the broader Kotak platform, enabling differentiated origination and execution. This positioning is particularly relevant as sponsor-led deals, cross-border transactions and strategic consolidations gain prominence in the Indian market.

During FY 2025–26, key advisory mandates included sell-side advisor to KKR for sale of a controlling stake in JB Chemicals & Pharmaceuticals Ltd. to Torrent Pharmaceuticals Ltd.; for sale of controlling stake in Wellbeing Nutrition to USV; to Novartis AG for the sale of a controlling stake in Novartis India Ltd, to ChrysCapital; and for sale of controlling stake in Ecom Express Ltd. to Delhivery Ltd.

Awards & Recognitions

KMCC's consistent execution and market leadership were recognised during the year, including being awarded 'Dealmaker of the Year' at the Mint India Investment Summit & Awards.

In conclusion, KMCC's performance in FY 2025–26 reinforced its position as a leading investment bank, supported by disciplined execution, sustained client engagement and a resilient deal pipeline. Backed by strong client relationships and differentiated execution capabilities, it remains well positioned to capitalise on emerging opportunities while navigating evolving market conditions.

ASSET MANAGEMENT

KOTAK MAHINDRA ASSET MANAGEMENT COMPANY LIMITED AND KOTAK MAHINDRA TRUSTEE COMPANY LIMITED

Kotak Mahindra Asset Management Company Limited (KMAMC) is the asset manager for Kotak Mahindra Mutual Fund (KMMF), with Kotak Mahindra Trustee Company Limited (KMTCL) acting as trustee. KMAMC also operates in portfolio management and manages alternative investment funds (AIFs), offering solutions across equity, debt, passive, commodities and offshore strategies to a diversified client base spanning retail, HNI, family offices, institutional and global investors.

Financial Performance

KMAMC delivered strong growth in assets and earnings, supported by industry tailwinds and operating leverage. Revenue from operations increased to ₹1,753.07 crore in FY 2025-26 from ₹1,508.99 crore in FY 2024-25, up 16.18% YoY, driven by growth in AAUM. Total Income includes investment income of ₹161.03 crore as against ₹205.71 crore in FY 2024-25. Total expenses increased to ₹585.69 crore from ₹473.87 crore, up 23.60% YoY in line with business growth, while maintaining operating efficiency.

For KMTCL, profit growth of 11.58% to ₹262.52 crore was largely attributable to the increase in AAUM. Total income includes investment income of ₹46.91 crore as compared to ₹54.55 crore in FY 2024-25.

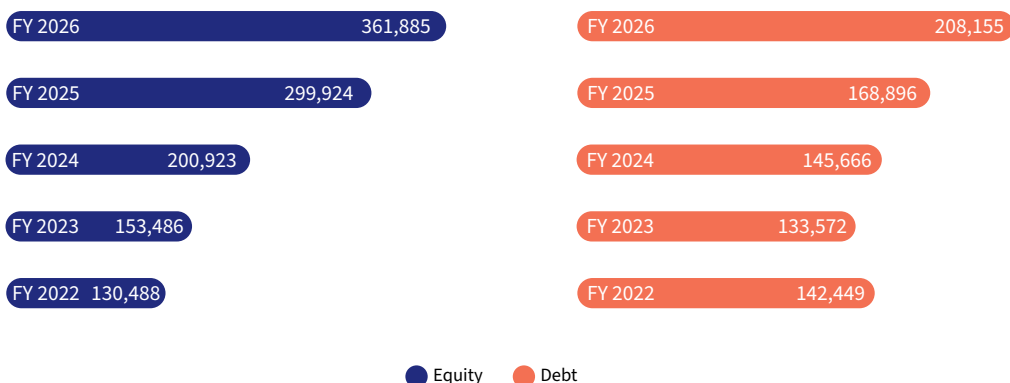
(₹ in crore)

Kotak Mahindra Asset Management Company Limited	FY 2025-26	FY 2024-25
Total Income	1,753.07	1,508.99
Total Expenses	585.69	473.87
Profit Before Tax	1,167.38	1,035.12
Profit After Tax	880.59	795.71
AAUM	570,041	468,820

(₹ in crore)

Kotak Mahindra Trustee Company Limited	FY 2025-26	FY 2024-25
Total Income	268.26	239.81
Total Expenses	5.74	4.53
Profit Before Tax	262.52	235.28
Profit After Tax	201.29	180.79

Average AUM (₹ in crore)



Industry and Positioning

The mutual fund industry continued to expand, with AAUM growing 20.14% YoY to ₹79.5 lakh crore. Within this environment, KMMF outperformed the industry, with AAUM increasing 21.59% YoY to ₹5.70 lakh crore, equity AAUM growing 20.66% YoY to ₹3.62 lakh crore and overall market share improving to 7.17%, maintaining its position as the 5th largest asset manager in India.

The franchise has established strong positioning across categories, including leadership in arbitrage funds and a top-tier presence in overseas fund-of-funds (FoF), supported by a diversified product suite and consistent fund performance.

Franchise and distribution strength

KMAC continues to strengthen its diversified and sticky investment franchise, anchored in strong retail participation, SIP-led flows and an extensive distribution network. The business has scaled to over 1.50 crore folios, with an addition of 19.10 lakh folios during the year, while monthly SIP inflows reached ₹2,116 crore in March, 2026, reflecting a 18.60% YoY increase. Individual investors contribute 54% of the MAAUM, underscoring the retail-led nature of the franchise with 75.78 lakh unique investors, representing 12.34% of the industry investor base.

The growth is supported by a wide distribution footprint of over 97,600 empanelled distributors and a presence across 126 branches in 113 cities, enabling deep market penetration and consistent inflows. The distribution mix remains well diversified across MFDs (38%), National Distributors (24%), Direct channels (24%), Kotak Mahindra Bank (7%), Banks excluding Kotak Mahindra Bank (6%) and others (1%), providing resilience and scalability to the overall platform.

Fund Launches

KMAMC continued to strengthen its product suite and expand offerings in line with evolving investor preferences. During the year, it launched eight open-ended funds and eleven passive strategies, including key offerings such as the Kotak Active Momentum Fund, Kotak Gold Silver Passive FOF, Kotak Quality Overseas Equity Omni FOF, Kotak Multi Factor Passive FOF, Kotak Rural Opportunities Fund and Kotak Services Fund.

Technology

Technology remains a key enabler, supporting scalability, efficiency and risk management. Investments during the year focused on strengthening infrastructure resilience, automation and data-driven capabilities. Enhancements included improved disaster recovery frameworks, AI-enabled customer servicing and analytics-driven insights for investment teams. These initiatives have strengthened operational efficiency, customer engagement and compliance oversight, while improving overall platform resilience.

Investor Engagement and Brand

The 'SIP Karo, Naya Future Start Karo' campaign reinforced the importance of disciplined, long-term investing through systematic investment plans. Rolled out across television and digital platforms, the campaign achieved a reach of 108 million and generated 3.9 million website visits, strengthening investor awareness and engagement.

Sustainability and responsible investing

KMAMC is a signatory to the UN-supported Principles for Responsible Investment (PRI) and Climate Action 100+ and was the first Indian asset management company to adopt the PRI, reinforcing its commitment to responsible investment practices.

Awards and recognitions

Marketing and brand initiatives received multiple industry recognitions for effectiveness, digital innovation and investor education impact:

- Best Corporate Bond Fund by Morningstar Awards for Investing Excellence, 2026
- Best Use of Video Marketing and Best Use of Digital for Financial Literacy (Mutual Fund Sector) by Adgully FINIXX Awards, 2025
- Gold in Mobile Advertising Excellence in Brand Campaign by Adgully MOBEXX Awards, 2025
- Best Use of Digital Media / Platform (Mutual Fund Category) and Best Video Marketing Campaign (Mutual Fund Category) by InksPELL – Drivers of Digital Awards

In conclusion, KMAMC continues to strengthen its franchise through consistent fund performance, a well-diversified product mix and sustained retail participation driven by SIP flows. With a continued focus on operating efficiency, disciplined cost management and enhanced distribution productivity, the business remains well positioned to navigate market cycles. Ongoing expansion in higher-margin segments, supported by prudent risk management and investment discipline, will further reinforce its ability to deliver resilient and sustainable growth.

KOTAK ALTERNATE ASSET MANAGERS

Kotak Alternate Asset Managers Limited (Kotak Alts) is one of the largest domestic alternate asset managers in India, providing private capital to Indian companies across a diverse range of asset classes. The platform has multiple private market asset classes i.e. Real Estate, Hybrid Credit, Private Equity and Real Assets. It serves global and domestic institutional investors, including sovereign wealth funds, pension funds and insurance companies seeking India-focused private market exposure as well as flexible private capital solutions.

In addition, Kotak Alts houses an investments advisory business that provides advisory services and discretionary portfolio solutions to HNIs and family offices.

Since inception, the platform has raised USD 11.5 billion in capital commitments as at 31st March, 2026, with 10%-15% backed by Kotak Group's capital, reinforcing alignment and stake in its outcome. Around 60% of deals have been proprietarily sourced, with target gross returns of 16%-25% IRR across strategies. This reflects Kotak Alts's strong sponsor pedigree, proven investment track record and institutional credibility.



Financial Performance

Kotak Alts delivered a strong improvement in profitability during FY 2025-26, supported by successful exits in portfolio investments. During the year, Kotak Alts transferred its business segment 'Kotak Cherry' to Bank, with effect from 14th August, 2025. Consequent to the transfer, Kotak Alts has ceased its operations of the Kotak Cherry platform, which is now managed by the Bank.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income*	854.84	580.32
Total Expense*	504.17	368.36
Profit Before Tax	350.67	211.96
Profit After Tax (from continuing operations)	263.71	163.49
Profit After Tax (from discontinued operations)	28.60	(24.18)
Total Profit After Tax	292.31	139.31

*excluding discontinued operations

Alternate Investments

Kotak Alts is a comprehensive platform across four asset classes:

Real Estate [USD 5,019 mn]: This includes investment offerings which invest across Residential and Commercial Real Estate. The platform capitalizes on the strong demand for developmental and growth capital in the Indian Real Estate landscape. It leverages macro tailwinds such as the growth in home ownership, establishment of digital infrastructure, e-commerce expansion and regulatory enablers.

Hybrid Credit [USD 3,230 mn]: Kotak Alts' private credit business offers customised capital solutions in special situations and performing credit. Notable funds include:

- **Kotak Strategic Situations Funds (KSSF):** Focuses on value-accretive opportunities in complex scenarios such as restructurings, turnarounds and bespoke structured transactions.
- **Kotak Private Credit Fund:** Targets mid-market lending, providing structured credit to fundamentally sound businesses seeking capital solutions.

Private Equity [USD 2,080 mn]: Kotak Private Equity has been active in India's private equity landscape since 2005, focusing on long-term thematic investing and specialising in healthcare and life sciences. Further, through the Discretionary Solutions platform, it manages portfolio allocations in public markets across equity, debt & alternatives.

- **Kotak Life Sciences Fund (KLSF-I)** – The Fund has successfully raised ₹382 crore, which it intends to invest across early to growth stage ventures aligned with India's expanding healthcare and biotech ecosystem.
- **Discretionary Solutions:** This platform offers investment solutions which include Kotak Iconic (complete Equity Portfolio Solutions) and Kotak Optimus (Multi-Asset, Multi-Strategy Portfolio Solution) suited for Ultra-HNIs and Family Offices. As at 31st March, 2026, the total AUM stood at ₹5,716 crore.

Real Assets [USD 1,235 mn]: Kotak Alts' real assets business includes investment offerings in infrastructure credit, renewable energy, e-mobility, electricity transmission among others. Notable funds include:

- **Kotak Infrastructure Investment Fund:** India's first dedicated infrastructure credit fund, deploying capital into operating assets across traditional and emerging infrastructure sectors.
- **Kotak Yield and Growth Fund (KYGF):** The Fund follows a two-pronged strategy, investing in yield generating assets, offering stable and predictable cash flows and providing flexible capital solutions, typically for non-bankable use cases, to mid-market companies in India. It looks to capitalize on India's structural growth tailwinds like PLI scheme, Make in India, etc

One Kotak in Action: KYGF Fund achieves landmark domestic fundraise

Kotak Alts completed the first close of the Kotak Yield & Growth Fund, a Category II AIF with a target corpus of ₹5,000 crore. The Fund aggregated commitments over ₹4,400 crore, making it one of the largest domestic private capital fundraise in the Indian market, with participation from domestic family offices, UHNIs and domestic Institutions. The entire capital was raised through Kotak Group's platforms underscoring strong in-house manufacturing capabilities and a robust distribution network.

The milestone reflects a step-up in domestic fund-raising and LP diversification, with growing participation from onshore capital pools and increasing appetite for private credit strategies. It also underscores the maturity of the investment platform and progress towards building a more diversified and balanced investor base. The investment strategy is anchored in rigorous underwriting, disciplined portfolio construction and a strong focus on capital preservation, with clearly defined exit pathways. The Fund is well positioned to benefit from India's expanding private credit opportunity, aligned with Kotak Alts' focus on prudent risk management and consistent value creation.

Investment Advisory Business

Kotak Alts, as a SEBI-registered investment advisor, delivers bespoke advisory solutions aligned to each client's financial goals, risk tolerance and liquidity needs. Asset allocation anchors the approach, guided by a disciplined assessment of investment horizon and objectives.

During FY 2025-26, the advisory practice scaled to over ₹1.4 lakh crore of assets under advice, serving more than 500 families. Mandates were added from clients across a widening footprint of tier 3 cities, reflecting the deepening reach of the franchise beyond traditional metros. 'Selekt', a dedicated digital advisory offering for clients with an investible net worth of USD 1-5 million, registered strong momentum during the year and crossed ₹2,000 crore of assets under advice.

In conclusion, Kotak Alts remains well positioned to scale its private capital platform, supported by a diversified strategy suite, strong sponsor pedigree and deep institutional relationships. This growth is underpinned by a consistent focus on risk management, capital preservation and long-term value creation. The investment advisory platform will continue to deepen client engagement and broaden its reach through a research-led, asset allocation-driven approach.

KOTAK MAHINDRA (UK) LIMITED, KOTAK MAHINDRA (INTERNATIONAL) LIMITED, KOTAK MAHINDRA, INC., KOTAK MAHINDRA ASSET MANAGEMENT (SINGAPORE) PTE. LIMITED AND KOTAK MAHINDRA FINANCIALS SERVICES LIMITED (COLLECTIVELY, THE 'INTERNATIONAL SUBSIDIARIES')

The International Subsidiaries, through a global network of entities form Kotak Group's integrated international platform operating across Singapore, London, New York, Dubai, Abu Dhabi and Mauritius. The platform delivers a comprehensive range of financial services to a global client base.

These subsidiaries are primarily engaged in investment management, advisory services, broker-dealer activities, securities dealing, and proprietary investments, with a strong focus on India-centric opportunities. The funds managed or advised are predominantly India-focused equity and debt strategies, catering to global investors seeking exposure to India's growth story. The International subsidiaries serve a diversified client base spanning global institutional investors, asset allocators and high-net-worth clients. The institutional franchise provides India/Indo Pacific-focused investment strategies, while the international wealth platform offers bespoke cross-border investment solutions. This dual engine approach enables deep India expertise alongside broad global diversification capabilities.

Over time, the platform has evolved from an India-inbound investment business into a more globally integrated investment ecosystem. While India remains central, this evolution includes expansion into passive strategies. The launch of the Indo-Pacific Defence UCITS ETF in partnership with HANetf, marks Kotak's strategic entry into global thematic investing beyond India.

Financial Performance

Total income from international subsidiaries declined from ₹540.20 crore in FY 2024-25 to ₹464.08 crore in FY 2025-26. The decline was primarily driven by lower income from investment management, largely reflecting reduced average assets under management (AAUM), along with a decrease in advisory and other service income (₹52.36 crore) and lower income from securities dealing (₹8.32 crore). In addition, mark-to-market losses on investments amounted to ₹13.84 crore during the year. Overall expenses increased from ₹245.75 crore in FY 2024-25 to ₹260.69 crore in FY 2025-26 on account of higher staff costs and other expenses. As a result, Profit Before Tax declined from ₹294.46 crore in FY 2024-25 to ₹203.38 crore in FY 2025-26.

International subsidiaries, being part of an in-scope Multinational Enterprise Group, are subject to Global Minimum Tax (GMT) under Pillar Two regulations. Accordingly, a tax provision of ₹18.82 crore (USD 2.13 million) was recognised in FY 2025-26 in respect of operations in Mauritius and Singapore (FY 2024-25: Nil).

Consequently, Profit After Tax declined from ₹254.98 crore in FY 2024-25 to ₹155.05 crore in FY 2025-26.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total income	464.08	540.20
Profit Before Tax	203.38	294.46
Profit After Tax	155.05	254.98

Industry Context and Performance Drivers

During FY 2025-26, global capital flows were impacted by sustained FPI outflows from Indian capital markets. In this challenging environment, the International Subsidiaries demonstrated resilience, maintaining steady client engagement and flows, recording gross inflows of USD 1,336 million and limited net outflows of USD 56 million. Assets under management moderated in line with broader market conditions closing at USD 4.98 billion as at 31st March, 2026, compared to USD 5.51 billion a year earlier. This decline was largely attributable to adverse market movements rather than structural client disengagement.

The International Subsidiaries continue to rank among the largest global managers of India-dedicated funds, underpinned by strong and enduring investor confidence.

Strategic Alignment (One Kotak)

The international Subsidiaries are a defining example of One Kotak, enabling seamless integration across banking, asset management and capital markets. This alignment delivers a unified client proposition across geographies, supported by shared research, distribution and execution capabilities, while also enhancing cross-sell opportunities and deepening client engagement. This integrated approach strengthens its role as the Kotak Group's gateway to global capital markets, extending Kotak's leadership in Indian financial services into a broader and increasingly connected international investment ecosystem, as the Internationalisation of India gathers momentum.

Awards and Recognition

Kotak Mahindra Asset Management (Singapore) Pte. Ltd. was recognised as the 'Winner - Best Use of Technology in Backend Operations' at the UBS Forums - 04th Edition BFSI Tech Summit & Awards 2025-26. The recognition reflects the firm's adoption of 'Multifonds', a scalable, SaaS-based global investment platform that enhances investment accounting capabilities, operational efficiency and controls across the fund lifecycle.

In conclusion, the International Subsidiaries continue to consolidate its position as a strategic bridge between India and global capital. While FY 2025-26 reflected near-term moderation due to market conditions, the underlying platform remains robust, with strong client franchises, expanding global integration and growing technological capabilities. This positions the business to capture long-term opportunities across an increasingly interconnected and evolving global investment landscape.

KOTAK MAHINDRA PENSION FUND LIMITED

Kotak Mahindra Pension Fund Limited (KMPFL) manages ten schemes under the National Pension System.

Financial Performance

KMPFL had total assets under management (AUM) of ₹9,024.56 crore as at 31st March, 2026, up 41.49% from ₹6,378.23 crore as at 31st March 2025. The Company's equity fund (NPS Tier 1) was the best performing equity funds in the NPS industry (NPS Tier 1) over 5-year & 7-year period as at 31st March, 2026.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	8.79	10.25
Total Expenses	10.35	8.32
Profit Before Tax	(1.56)	1.93
Profit After Tax	(2.14)	1.93

KOTAK MAHINDRA TRUSTEESHIP SERVICES LIMITED

Kotak Mahindra Trusteeship Services Limited (KMTSL) acts as a trustee for domestic venture capital and alternative investment funds and has nearly two decades of experience in establishing and administering private family and estate planning trusts across diverse sectors. Through Kotak's Estate Planning Services, the Company provides a comprehensive succession planning platform for HNIs and Ultra-HNIs, assisting in the structured and seamless intergenerational transfer of wealth while building long-term relationships with client families.

Financial Performance

KMTSL delivered steady growth in profitability during FY 2025–26, with total income increasing to ₹22.96 crore and Profit Before Tax rising to ₹10.94 crore in FY 2025-26 from ₹7.80 crore in FY 2024-25, driven by business scale and operating efficiency. Profit After Tax increased to ₹8.35 crore in FY 2025-26 from ₹5.84 crore in FY 2024-25, reflecting improved margins despite stable operating expenses.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	22.96	20.37
Total Expense	12.02	12.57
Profit Before Tax	10.94	7.80
Profit After Tax	8.35	5.84

Estate Planning Business

The estate planning business continues to build momentum, supported by increasing awareness and adoption of structured succession planning among high-net-worth families. KMTSL provides a comprehensive platform for clients to manage wealth transfer, governance structures and long-term family planning, enabling continuity and preservation of wealth across generations. The Company has been actively engaging with clients and industry forums to promote awareness of estate planning, strengthening its positioning as a trusted advisor in this segment.

Trusteeship Services for Alternative Investment Funds

KMTSL also acts as a trustee to 14 alternative investment funds and venture capital funds providing oversight and governance support. The funds under trusteeship follow comprehensive risk management process and procedures. As at 31st March, 2026, KMTSL manages approximately ₹58,000 crore of assets under trusteeship, reflecting scale and client trust.

KMTSL remains well positioned to benefit from increasing financialisation of wealth and formalisation of succession planning, growing adoption of AIF structures and private market investments and rising demand for governance-led wealth solutions among HNIs and UHNIs

IVY PRODUCT INTERMEDIARIES LIMITED

At present, IVY Product Intermediaries Limited earns income from investment of its surplus money in fixed deposits.

Financial Highlights

The company reported stable performance during FY 2025–26, with total income at ₹0.52 crore, marginally higher than the previous year. Profitability remained steady, with Profit Before Tax at ₹0.35 crore in FY 2025-26 as compared to ₹0.36 crore in FY 2024-25. The Profit After Tax at ₹0.32 crore in FY 2025-26 as compared to ₹0.25 crore in FY 2024-25, reflects consistent returns on surplus investments. Operating expenses remained low and well contained, in line with the limited scale of operations.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Total Income	0.52	0.48
Total Expenses	0.17	0.12
Profit Before Tax	0.35	0.36
Profit After Tax	0.32	0.25

KOTAK KARMA FOUNDATION

On 26th June, 2023, the Bank incorporated Kotak Karma Foundation under Section 8 of the Companies Act, 2013, as a wholly owned subsidiary for setting up a Centre of Excellence (CoE) of the Bank for furtherance of part of its Corporate Social Responsibility (CSR) initiatives.

PROTECTION

KOTAK MAHINDRA LIFE INSURANCE COMPANY LIMITED

Kotak Mahindra Life Insurance Company Limited (KLI) operates as a diversified life insurance franchise offering protection, savings and annuity solutions across individual and group segments. It offers a comprehensive suite of protection, savings, annuity and market-linked solutions, including participating and non-participating savings products, term insurance, ULIPs/TULIPs, and group credit life and fund business solutions. KLI leverages a well-established, digitally-enabled multi-channel distribution model spanning agency, bancassurance, brokers, corporate partnerships and digital platforms to serve a pan-India customer base.

Financial Performance

Gross written premium grew by 16.68% year-on-year to ₹21,441.09 crore, while new business premium expanded by 23.98% to ₹10,184.22 crore, reflecting robust traction across individual and group segments both credit and fund business.

The Value of New Business (VNB) increased by 31.4% to ₹1,260 crore (FY 2024-25: ₹959 crore), with VNB margins expanding by 350 bps to 28.5% (FY 2024-25: 25%), driven by a higher mix of protection and non-par savings products and reflecting the quality of the business book.

The Indian Embedded Value (IEV) at ₹19,224 crore as at 31st March, 2026 (₹17,612 crore as at 31st March, 2025), grew by 9.15% YoY (This is computed based on the principles prescribed by APS10. The methodology, assumptions and results have been reviewed by Willis Towers Watson Actuarial Advisory LLP.)

Operating ROEV for FY 2025-26 was at 16.4%, underscoring steady operating performance and capital efficiency.

Profitability for the year was impacted by GST-related regulatory changes (Impact of GST exemption on actuarial reserves and expenses) with Profit Before Tax at ₹1,089.66 crore and Profit After Tax at ₹628.46 crore.

KLI maintained a strong balance sheet and capital position during the year:

- Assets under Management (including shareholders' funds) increased by 12.36% to ₹1,03,155.94 crore
- Solvency ratio stood at 2.21x, well above the regulatory requirement of 1.50x
- The Capital & Reserves and Surplus increasing by 5.23% to ₹6,738.11 crore (31st March, 2025: ₹6,403.07 crore)

KLI declared a bonus of ₹1,397.69 crore for FY 2025-26, marking a growth of 18.64% over last year, benefiting over 7.7 lakh eligible policyholders. This marks the 25th consecutive year of bonus declaration on participating products, reflecting sustained value creation for policyholders.

KLI continues to be rated CRISIL AAA/Stable, indicating the highest degree of creditworthiness.

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25
Gross Written Premium	21,441.09	18,375.67
New Business Premium (Incl. Group and Single)	10,184.22	8,214.38
Profit Before Tax – Shareholders' Account	1,089.66	1,174.99
Profit After Tax – Shareholders' Account	628.46	769.47
Solvency Ratio (as at 31 st March)	2.21	2.45

Industry and positioning

On an individual APE basis (Single premium at 1/10th), KLI recorded a growth of 11.37% in FY 2025-26, compared to private sector growth of 12.30% and overall industry growth of 10.21%. Market share stood at 3.48% among private insurers

In the group new business premium (APE terms) segment, KLI's market share stood at 13.51% among private insurers.

At an overall level, KLI delivered growth of 31.05% in total new business premium (APE terms), significantly ahead of industry growth of 14.56%, resulting in a market share of 5.48% within the private insurance industry.

Business Performance

Growth during the year was driven by a favourable shift in product mix, strong momentum in protection and continued expansion across both individual and group businesses.

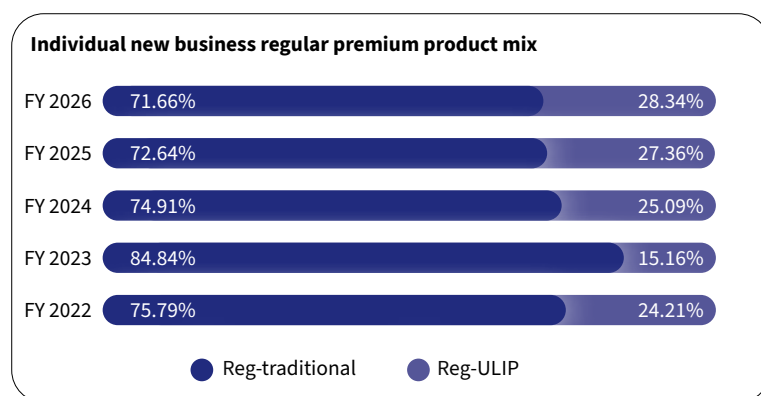
Protection remained a key strategic focus, contributing 31.25% to total individual new business and group premium, with overall protection premium at ₹3,292.48 crore. The increasing share of individual protection and non-par products supported margin expansion.

Business mix and segment performance

(₹ in crore)

Particulars	FY 2025-26	FY 2024-25	YoY
Individual Regular	3,185.55	2,861.30	11.33%
Individual Single	1,383.98	1,232.13	12.32%
Group Premium	5,614.69	4,120.94	36.25%
Total New Business Premium	10,184.22	8,214.38	23.98%
Renewal	11,256.87	10,161.29	10.78%
Gross Written Premium	21,441.09	18,375.67	16.68%

The product mix of KLI within individual new business regular premium continues to be driven largely by traditional business being at 71.66% and ULIP at 28.34%.



Distribution continued to remain diversified, with bancassurance contributing 48.6% and other channels contributing 51.4% enhancing resilience across market cycles (based on individual new business premium APE : annualised regular premium + 1/10th single premium).

Total sum assured stood at ₹17.83 lakh crore, registering a growth of 14.51% year-on-year (FY 2024-25: ₹15.57 lakh crore). Individual sum assured stood at ₹4.62 lakh crore, registering a growth of 18.10% year-on-year (FY 2024-25: ₹3.91 lakh crore). Group sum assured stood at ₹13.21 lakh crore, registering a growth of 13.30% year-on-year (FY 2024-25: ₹11.66 lakh crore).

Customer and Operating Metrics

KLI sustained strong operating metrics, reflecting the quality and resilience of its franchise:

- Individual claims settlement ratio improved to 99.50% (FY 2024-25: 98.61%)
- Group claims settlement ratio stood at 99.80% (FY 2024-25: 99.63%)

Persistency remained stable across cohorts (13th month: 84.95%; 61st month: 55.05%), indicating consistent customer retention and engagement. Conservation ratio was 85.91%, broadly stable year-on-year (FY 2024-25: 86.26%)

Customer experience metrics also improved, with the RNPS ranking rising to #2 (from #3 in the previous year), as per the Hansa Syndicate Report, 2026.

Product launches

During the year, KLI strengthened its product suite across protection, savings and investment solutions by introducing a steady pipeline of customer-centric offerings.

KLI focused on addressing diverse financial needs ranging from pure protection to long-term wealth creation and legacy planning. 'T-ULIP Nxt' combines high sum assured protection with the potential for market-linked returns, catering to customers seeking both security and growth. Further expanding its presence in the affluent segment, 'Kotak Signature Legacy' offers simplified underwriting along with features designed for efficient wealth transfer and legacy creation.

At the same time, KLI enhanced its guaranteed savings portfolio with 'Kotak EDGE', a non-participating product that provides early and predictable returns, appealing to customers looking for certainty in their financial planning. Strengthening its protection offerings, 'Kotak



Signature Term' delivers high coverage at competitive pricing, making it an attractive option for customers prioritising pure risk protection. Complementing these offerings, 'Kotak TWIN' introduces a hybrid approach by combining participating savings with term protection, enabling customers to achieve a balanced mix of savings and life cover within a single solution.

Distribution strength

KLI's distribution strength is reflected in its extensive footprint of 372 branches across 166 locations, supported by a network of over 1.5 lakh life advisors. The company further leverages 28 bancassurance partners and 356 broker and corporate tie-ups to drive reach and customer access across markets.

Technology

KLI strengthened its technology, digital and data capabilities by building a scalable digital foundation to drive growth and improve customer experience. It migrated to a modern data centre and implemented an enterprise-grade API platform, enhancing performance and integration, while deploying a cloud-based digital workplace to improve collaboration. KLI expanded the use of data, AI and machine learning across the customer lifecycle, including an AI-led call monitoring tool, and solutions for personalised engagement, cross-sell and high-intent lead generation. It also introduced an AI-powered distributor learning platform and enhanced the 'Boost 360' platform, scaling to over 1.17 lakh users with approximately 41% monthly active usage and supporting more than 17 lakh annual service requests in FY 2025-26. KLI also launched an end-to-end group underwriting portal enabling automated processing and faster decisions.

Awards and Recognitions

- Claims Excellence and Servicing Excellence - Life Award by FICCI Insurance Industry Awards
- Gen2Gen Income voted as Product of the Year Award (Savings Plan) by the NielsenIQ Consumer Survey of Product Innovation
- Best Sales Training Program, Best Digital Learning Transformation Program by BW People Awards, 2026

In conclusion, FY 2025-26 saw strong growth and improved business quality for KLI, supported by a favourable product mix and focus on protection. Despite GST-related impacts on profitability, fundamentals, capital strength and embedded value remain robust. KLI continues to focus on protection, innovation and digital capabilities, backed by strong distribution, disciplined risk management and a clear strategy to deliver sustainable long-term value.

THREE PILLARS OF STRATEGY

The strength of Kotak's four-engine model is executed through its pillars, namely, Focus Customer Segment Propositions, Independent Product Businesses within the Bank and Technology, Digital & AI.

FIRST PILLAR: FOCUS CUSTOMER SEGMENT PROPOSITIONS

Kotak has identified four focus customer segments, namely HNI, Core India (a billion Indians), SME and Institutional clients, each served through differentiated, multi-product and multi-engine propositions. This approach strengthens wallet share, improves retention, accelerates cross-engine monetisation and supports scalable and profitable growth.

HNI Segment: Private Banking and Solitaire

The HNI segment, comprising Private Banking and Solitaire, represents a high-value, relationship-led franchise. Kotak's HNI franchise offers a comprehensive, group-wide suite spanning banking, investment products, insurance, investment advisory, family office services, multigenerational wealth solutions, and trading & research platforms. Private Banking serves HNI and UHNI clients, including entrepreneurs, multi-generational business families and professionals, through bespoke banking, investment and wealth advisory solutions, while Solitaire (launched in May 2025) caters to affluent and emerging HNIs with priority banking, enhanced credit, premium cards, and curated lifestyle benefits. Together, these offerings deepen engagement across customer segments.

The franchise drives profitable growth through strong relationships, higher wallet share, and cross-sell, supported by fee-based revenues and relatively low capital intensity, as reflected in its strong operating momentum, serving over 66,000 families with a total relationship value of ₹10.8 lakh crore across deposits, advances, demat and investments.

Private Banking

The proposition follows an open-architecture model, providing access to equities, fixed income, alternatives, structured solutions, banking and credit, along with estate planning and family office referrals, enabling multi-generational wealth management. With over two decades of experience, it is among India's most respected private banking franchises and manages the wealth of nearly 60% of India's top 100 families. (Source: Forbes India Rich List 2024).

Growth during the year was supported by rising opportunities in Tier II and Tier III cities, where HNI and Ultra-HNI families increasingly seek institutional wealth platforms. The business further strengthened its 'Global Indian' proposition for HNIs, NRIs and globally mobile families, supported by an offshore platform anchored in DIFC (Dubai) and GIFT City (India), enabling seamless cross-border wealth management and fostering a trusted, integrated global wealth ecosystem. The franchise continues to build thought leadership, which reinforced with the launch of the Kotak Private Luxury Index, tracking evolving luxury consumption trends among UHNIs.

The business continues to receive strong industry recognition, including:

- Best Private Bank in India - Euromoney Private Banking Awards, 2026
- Digital Private Bank of the Year, India - The Asset Triple A Digital Awards, 2026
- Best Private Bank for Innovation - Private Banker International Global Wealth Awards, 2025
- Best Private Bank in India - PWM & The Banker Global Private Banking Awards, 2025

Solitaire

Launched in May 2025, Solitaire scaled during FY 2025-26 as Kotak's invite-only proposition for affluent and emerging HNI customers. The proposition combines priority banking, enhanced credit access, wealth, trading and demat capabilities, insurance, premium cards and curated privileges. During the year, the focus remained on improving customer experience, deepening engagement and increasing relationship value. This supported higher share of wallet across deposits, lending, cards, payments and investments. The proposition was further enriched through curated lifestyle experiences taking engagement beyond transactions and strengthening the brand affinity. As customer relationships deepen, Solitaire acts as a natural pathway into more advanced wealth and advisory-led propositions within the Kotak ecosystem.

Core India Segment: Kotak811

Kotak811 serves digitally active Core India customers through fully digital end-to-end onboarding and servicing journeys delivered through a simple mobile-first experience. The proposition integrates savings, payments, cards, loans, deposits, investments and insurance within a unified Kotak811 app experience.

From a value-creation standpoint, Kotak811 serves as a scalable acquisition and engagement engine with low acquisition and servicing costs. It contributes to a stable, granular deposit base and enables lifecycle-led monetisation as customers mature within the ecosystem, as reflected in strong operating momentum, with over 33.5 lakh customers acquired in FY 2025-26, a 12.2% contribution to the Bank's total savings account balances and 32.4% YoY growth in Kotak811 savings balances.

During FY 2025-26, Kotak811 strengthened the One Kotak experience by integrating accounts, UPI, bill payments, cards, loans, investments and insurance into a unified platform. The integration of UPI and BillPay with rewards is driving strong engagement and consistent ranking among leading banking apps in India, with 39.2% of daily active users transacting through in-app UPI and approximately 1.0 lakh bill payments and recharges processed daily in March 2026. New launches such as 811SuperX, an integrated offering combining savings, ActivMoney, trading and mutual funds and the Infinity Metal Debit Card, a premium lifestyle card for Gen Z and millennials; further strengthened the proposition among aspirational and mass-affluent customers.

Kotak811 App remains the Bank's digital platform for digitally active Core India customers, offering a simple and intuitive mobile-first experience with seamless access to financial services. The app has seen strong adoption, with ratings of 4.7 on the Play Store and 4.8 on the App Store. During the year, Kotak811 App was recognised as the #1 most downloaded banking app in India and #3 in the world for H1 2025 (as per the Sensor Tower report of September 2025). The App was further integrated with on-ground channel teams for assisted onboarding, strengthening risk controls. Enhancements such as a nudge platform and real-time in-app transaction notifications were introduced to drive personalised recommendations and actions.

SME Proposition

The SME franchise remains a core growth engine, scaling to ₹1.2 lakh crore in advances with 19.4% YoY growth, and accounting for 23.9% of the Bank's advances (gross of IBPC & BRDS). Kotak's SME strategy is anchored in becoming the primary banking partner for business owners by serving both enterprise and promoter-level financial needs, thereby deepening relationships, increasing wallet share and improving customer stickiness. The Bank is also supporting the building of next-generation enterprises through knowledge and capability-building initiatives enabled through partnerships. The inherent business model drives scalable growth through transaction-led flows and fee-based revenues across a diversified, pan-India granular portfolio, thereby strengthening the quality and sustainability of earnings.

Institutional Proposition

The institutional franchise is focused on profitability through fee and liability mix, driving granularisation and high ROE business while maintaining robust asset quality, supported by cross-selling across a fully integrated platform that delivers balance sheet, capital markets and advisory solutions. The proposition is anchored on lending capabilities complemented by strengths in investment banking, equity research, broking, debt capital market, custody and treasury and delivered calibrated advances growth with disciplined pricing under a risk-adjusted returns framework.

The franchise contributed 17.1% of Bank total fee and services income in FY 2025-26, with fee growth of 13.7% YoY, as integrated offerings added meaningful uplift to returns. Fees from cross-selling of Investment Banking (Kotak Mahindra Capital Company Limited) and Institutional Broking (Kotak Institutional Equities, a division of Kotak Securities Limited) add approximately 200 basis points to Corporate Bank's RoE.

SECOND PILLAR: INDEPENDENT PRODUCT BUSINESSES WITHIN THE BANK

Independent product businesses within the Bank are anchored in focused execution and strong ecosystem linkages. These lending businesses have been built over time with dedicated distribution models and distinct economics, enabling consistent risk-adjusted returns across asset classes. Tractor and Farm Equipment (TFE) together with Commercial Vehicles (CV) and Construction Equipment (CE) account for 12.8% of the Bank's advances (gross of IBPC & BRDS). Collectively, they deliver resilient, well-secured growth, supported by differentiated value pools and strong market positioning in their respective segments.

Tractor and Farm Equipment

Kotak operates this as an independent product vertical competing directly with NBFCs. The business is anchored in a granular, fixed-rate and secured portfolio with deep rural reach across 600+ districts, supported by strong dealer and OEM partnerships. Over 90% of the portfolio qualifies under PSL, supporting both profitability and regulatory objectives.

During FY 2025-26:

- Retained position as India's second-largest tractor financier
- Market Share of 10.9% (Source: Tractor Manufacturers Association)
- Advances Book of ₹20,084 crore, up 13.4% YoY
- Contributed 3.9% to the Bank's advances (gross of IBPC & BRDS)

Commercial Vehicles and Construction Equipment

The Commercial Vehicles (CV) and Construction Equipment (CE) businesses operate as an independent product vertical within the Bank, complementing the SME franchise and extending reach into the logistics and infrastructure ecosystem, particularly across semi-urban and rural markets. The portfolio comprises fixed-rate, secured loans, anchored in strong dealer and OEM networks across diverse customer segments, and serves as a key entry point into the transport and infrastructure ecosystem, aligned to infrastructure spending, freight movement and capex cycles.

During FY 2025-26:

- Ranked among the top five financiers in India
- Market share of 4.7% in CV (Source: SIAM) and 7.4% in CE financing (Source: ICEMA)
- Combined advances book of ₹45,906 crore, up 6.7% YoY
- Contributed 8.9% to the Bank's advances (gross of IBPC & BRDS)

THIRD PILLAR: TECHNOLOGY, DIGITAL & AI

This pillar encompasses automation and digitisation, robust data architecture and the deployment of artificial intelligence (AI), forming the operating backbone of the franchise. It enables enhanced customer experience, greater operational efficiency, improved productivity and scalable growth. The impact of these initiatives is reflected in the steady decline in the Bank's cost-to-assets ratio over recent quarters.

The Bank has invested in strengthening its technology core and expanding digital capabilities to support scalable growth and greater efficiency. In FY 2025-26, this continued with enhancements to infrastructure, digital platforms and user experience, creating a resilient, secure and scalable foundation for a digital-first franchise. The focus remains on driving productivity, efficiency and faster time to market through digitisation, automation and scaled adoption of AI across the enterprise. These capabilities support the 'Transforming for Scale' strategy, centred on speed, simplicity, scalability and customer trust, while improving execution and customer outcomes. Technology investments remain aligned to throughput, cost efficiency and risk discipline to support sustainable growth with stronger unit economics.

The 'One Kotak' technology function has further strengthened this agenda by aligning group-wide strategy and governance, standardising architecture and enabling seamless digital journeys. This has improved investment efficiency, reduced duplication and unlocked cross-entity synergies.

Infrastructure, Resilience and Scalability

Technology investments in FY 2025-26 focused on strengthening a resilient, scalable and high-throughput digital backbone to support growing transaction volumes and deliver a consistent customer experience. The Bank achieved near-zero downtime (FY 2025-26) across high-volume critical platforms including Core Banking Systems and UPI, complemented by a transformed disaster recovery framework, active-active architecture and periodic enterprise-wide drills. Enhanced monitoring capabilities have also been a key focus, with observability platforms enabling proactive detection, faster remediation and improved system stability. The underlying architecture of Core Banking ecosystem is scaled to process approximately 10,000 transactions per second and supports over 3.6 crore API calls daily. Real-Time event-driven processing architecture enables reduction in transaction processing latency by enhancing both performance and customer experience. Customer-facing platforms such as UPI and BillPay continue to scale strongly and remain as key engagement drivers for Kotak. The ecosystem partnerships have expanded payments infrastructure and merchant coverage across sectors such as mutual funds, insurance and retail, supporting higher transaction throughput and scalable growth.

Unified and Interoperable Platforms

Unified technology platforms underpin seamless, integrated digital experiences across branch, digital and voice channels, enabling consistent customer journeys. These platforms enhance interoperability and accelerate product deployment in line with the One Kotak strategy. Key ones being:

- The Bank's **Digital Banking Platform** forms the core of this architecture, combining a unified application framework with a domain-based API layer that enables scalable, secure and resilient delivery of customer journeys. This modular, cloud-native design supports rapid innovation across mobile, web and assisted channels while ensuring consistency in user experience.
- The Bank has enhanced monitoring coverage across several critical applications and digital and technology platforms using **Observability Platform**, resulting in the collection of over 10 million metrics per minute, supporting proactive detection, faster resolution and improved system reliability.
- The **Unified Onboarding Platform** has significantly enhanced customer acquisition and engagement by enabling consistent, omnichannel journeys across lending and liability products, with over 99.5% uptime and reusable architecture. It supports seamless journey continuity, faster time-to-market and improved cross-sell opportunities, while maintaining strong compliance and risk controls.
- The **Data EXchange (DEX) Platform** underpins the Bank's data-driven strategy, serving as a modern cloud-based data lakehouse capable of processing near petabyte-scale data. It enables intelligence generation through machine learning models and AI applied to granular data sets. The platform supports real-time analytics, with query performance improving multi-fold, processing over a million queries each month with low latency and enabling faster, insight-led decision-making across the organisation.
- The Bank's **Workflow and Document Management Platform** provides a broad range of capabilities that reduce developer effort and development time, enabling the creation of durable digital journeys and omni-channel integrations. They are also foundational to Agentic AI, serving as both a trusted framework for automation and a mechanism for enterprise knowledge grounding.
- The in-house **Kotak AI platform**, a Generative AI platform serves as an intelligence backbone for the Bank's digital and customer experience ecosystem across the enterprise. Adoption is expanding across retail, institutional and private banking use cases, including customer servicing, sales productivity and internal operations. The platform is also gaining traction in workforce enablement, supporting automation and productivity improvements across teams.
- **The Account Aggregator platform** provides a scalable Financial Information User (FIU) capability, enabling secure, consent-based access to financial data through the Account Aggregator ecosystem. Serving as a unified data backbone, it strengthens underwriting through advanced analytics, improves customer conversion and supports cross-sell opportunities across lending products.
- **K-Force**, the Bank's Salesforce-based Customer Relationship Management (CRM) platform, delivers a unified 360-degree view of customer interactions across service, complaints and engagement channels. Deployed enterprise-wide across branches, contact centres, digital channels and operations, it leverages API-driven automation to improve responsiveness and operational efficiency. The platform integrates lead and opportunity management capabilities, strengthening sales enablement, enhancing relationship management and supporting improved customer outcomes and business growth.

Cybersecurity and Risk Management

The Bank has implemented a multi-layered cybersecurity framework covering prevention, detection, response, and recovery to manage evolving cyber risks and protect its digital infrastructure. Preventive controls are aligned with global standards such as ISO 27001:2022 and PCI DSS, supported by a 24x7 Security Operations Centre for continuous monitoring and real-time threat detection. Cyber incidents are managed through a structured lifecycle with priority-based response, while robust disaster recovery and business continuity frameworks ensure minimal disruption. Regular resilience testing including vulnerability assessments, penetration testing, audits, and advanced simulations further strengthens preparedness, supporting operational continuity and reducing risk exposure.

Leveraging Data and Analytics

Data and analytics act as a core operating layer driving risk-adjusted growth, customer engagement and operating leverage. A unified view of customer-product-risk view supports sharper proposition design across HNI, Kotak811, SME and institutional businesses, while enabling more effective cross-sell, targeted marketing and lifecycle management. Integrated data flows across onboarding, payments, lending and trade platforms also support faster and better-informed frontline decision-making. Across lending businesses, including commercial vehicles, construction equipment and tractor finance, analytics strengthens underwriting, portfolio monitoring and pricing. Early Warning Systems provide continuous surveillance of larger exposures, while decision science and machine learning models support credit selection, collections prioritisation, risk-based pricing and fraud detection, with several models operating in near real time. AI and advanced analytics are moving from experimentation to enterprise-wide enablement. Frontline teams are supported by AI-led tools providing personalised engagement cues, automated intelligence enhancing regulatory compliance, device intelligence and external data signals strengthening fraud prevention and risk control frameworks.

Going forward, the Bank will continue to invest in data governance, data engineering and real-time processing capabilities. These foundations will support AI-enabled decision-making at scale, enabling better customer engagement, earlier risk identification, greater automation and a more unified One Kotak view of the customer across the Group.

Leveraging AI

The Bank is applying AI not as a standalone initiative but as part of a broader shift in how banking work is performed, across customer engagement, operational workflows, decision-making and control frameworks. The Bank's approach to AI is grounded in its institutional context, leveraging proprietary data, customer relationships and risk frameworks to ensure relevance, governance and measurable business impact. AI is increasingly embedded into existing processes to enhance execution, while preserving strong standards of risk management and compliance. Adoption is progressing across three levels- individual productivity, integration into existing journeys and re-imagining of AI-native processes, ensuring both incremental efficiency gains and longer-term transformation.

Kotak is applying AI across four categories: customers, colleagues, control and technology:

For customers, the focus is on enabling faster, more personalised service across sales and service journeys. The Bank continues to invest in voice automation for both call handling and conversational analytics. Customer-facing use cases include onboarding assistance, signature detection, feedback classification and voice-led collections, with additional voice and journey use cases forming part of the forward roadmap. The Bank is also using AI-enabled journey design capabilities which is also being leveraged to identify and prioritise opportunities to improve time, cost, consistency and experience across processes. These initiatives support the objective of improving service journeys, reducing customer effort and friction.

For colleagues, Kotak is applying AI to reduce manual effort and improve access to knowledge and decision support through 'Kompanion' Agent Suite. Kompanion has received lakhs queries from thousands of daily active users. These tools are designed to reduce customer time-to-serve when handling queries and for relationship management. AI-enabled productivity features were launched for Relationship Managers (RMs) across multiple business segments. This reflects the Bank's focus on equipping relationship teams with contextual, AI-enabled support for pursuing targeted cross-sell, up-sell opportunities. Finally, multiple teams are leveraging AI to identify operational inefficiencies and reduce manual effort. These initiatives have started to improve repeatability and accuracy in this operational process.

For control functions, Kotak is applying AI to strengthen oversight, monitoring and auditability. This is an area that spans functions such as credit decisioning, fraud risk management and data privacy Office. The Bank has had a multi-year investment on data analytics across these areas and has started to infuse them with AI capabilities.

For technology teams, Kotak is leveraging AI to improve software development productivity and build reusable execution capabilities. Spark (formerly Koder), the Bank's Software Development Agent, has hundreds of engineers using it. Given AI is significantly changing traditional software development, the Bank is looking to invest and mature this space rapidly. This space has started to demonstrate potential for AI-assisted engineering to increase delivery velocity when embedded into development workflows with appropriate security guard rails.

These capabilities are anchored in an enterprise AI framework built on 'build, control and secure' principles, integrating governance, validation and risk guardrails into the foundation of AI deployment. The Bank's approach to responsible and explainable AI aligns with regulatory expectations, incorporating robust policies, lifecycle management, monitoring and continuous improvement, while ensuring transparency, auditability and human-in-the-loop oversight.

Going forward, Kotak will continue to invest in AI workstreams across customer journeys, marketing, voice, sales support, workforce enablement, software development, credit assessment and AI governance. These workstreams will remain aligned to business priorities, with a focus on measurable outcomes, responsible adoption and the reuse of enterprise AI capabilities. The Bank's AI journey will continue to be business-led, outcome-focused, Kotak-specific and governed-by-design starting with clear business problems to deliver tangible business impact. Trust, compliance, explainability, auditability and human-in-the-loop principles will remain integral to the design and deployment of AI solutions

In conclusion, the Bank's investments in technology, data and AI are strengthening the foundations for scalable, secure and efficient growth. Together, a resilient digital backbone, enterprise-wide data capabilities and responsible AI adoption are enhancing customer experiences, accelerating decision-making, improving productivity and driving sustainable value creation across the One Kotak ecosystem.

HUMAN RESOURCES

The Bank continues its transformation journey, anchored in a culture of inclusion, respect and trust, core to its organisational DNA, with three priorities guiding the year: enhancing a digitally-enabled workforce, reinforcing organisational capability for future growth, and enhancing employee engagement. As on 31st March, 2026, the Group had over 112,000 full-time employees, with over 74,000 at the Bank standalone; the workforce is becoming younger and more agile, with 41% under 30 years of age at the Group level and 45% at the Bank, and the digital workforce continuing to expand.

These priorities are delivered through five pillars of talent engagement, translating intent into impact.

1. Best of Kotak for Kotakites

The Bank strengthened its employee value proposition through preferential benefits, including the Kotak Staff Home Loan Policy, competitive corporate salary account proposition, wellbeing and gender-based benefits, which are viewed well by the employees.

2. Colleague Development

AI and digitisation are increasingly embedded within employee workflows, enhancing productivity and enabling more efficient execution. AI-enabled tools such as 'Kompanion' support faster information access, improved customer servicing and stronger decision support, while analytics-led dashboards provide relationship managers with a unified customer view, enabling targeted cross-sell and improved engagement. Digitisation across branch operations and servicing has also improved turnaround times, strengthened controls and enhanced productivity.

DISHA, the Bank's internal career fair, provides visibility into roles and career opportunities, supported by roadshows and forums, complemented by the Internal Job Posting platform for structured access to opportunities across the Group. Structured career acceleration programmes at junior to mid career stages - Strive, Ascend Next, Race, Accler8, Step Up, Sprint, Super30, Assurance Next and T-Edge - provide pathways for progression based on merit, capability and performance.

Talent acquisition remained a key focus, driven by campus programmes and the Hire-Train-Deploy model, with diversity hiring and strengthening women's representation continuing as a strategic focus through structured campus initiatives and targeted hiring goals.

Leadership development spans every level: the First Time Manager programme builds foundational managerial capability, while Manager of Manager strengthens alignment and performance management at mid-management; Branch Manager Next builds frontline readiness through a phased journey; and at senior levels, Lead to Transform enables leaders to drive transformation and strategic initiatives while the Kotak Leadership Vanguard and Future Forward Leadership programmes build strategic thinking, digital transformation, collaboration and communication capability. These are complemented by Executive Coaching for personalised development in leadership presence and effectiveness, and the Inspirational Leadership programme, which reinforces behaviours that foster trust, collaboration and psychological safety.

The Kotak Young Leaders Council (KYLC), a flagship year-long programme, further strengthens the pipeline by equipping high-potential talent with immersive learning, cross-functional projects and mentoring aligned to the Bank's priorities.

Upskilling remained a key priority for productivity and future readiness, led by Kotak MyLearn, a unified self-paced platform enabling role-based learning journeys through AI-driven insights and personalised pathways.

Kotak's performance management framework is anchored in the 4C philosophy - Company, Colleague, Customer and Community - Compliance, which defines how we win as an organisation. It enables outcome based, objective results measurement, developmental feedback, and structured self and manager evaluations.

3. Building a Culture of Appreciation

The Bank continues to foster a workplace culture rooted in inclusion, respect and trust, core to its organisational DNA. It was recognised among the **Top 100 India's Best Companies to Work For 2026, Top 50 India's Best Workplaces in BFSI 2026** and among **India's Best Employers Among Nation-Builders 2026** by Great Place to Work® India, given its strong and sustainable capability development practices.

Kotak Shining Stars, the Group's flagship recognition programme, celebrated excellence embodying the 'One Kotak' spirit and 'Aim, Aspire, Achieve' ethos through a robust, multi-stage evaluation process ensuring fairness and merit, with strong participation across entities.

K-Applaud, the Bank's peer-driven rewards and recognition platform, encourages everyday appreciation across teams. The Bank celebrated its 40th Foundation Day across locations, reinforcing legacy and shared purpose.

4. Transparent Communication

Accessible leadership and open dialogue let employees share feedback and seek guidance through key channels: leadership townhalls led by Whole-time Directors on quarterly performance and priorities; KotakWorld, the Group's intranet for communication and collaboration; Amber, an AI-powered real-time listening platform serving as a smart assistant to the CHRO, with an engagement score of 82/100; and My Kotak My Say, the sixth edition of the Bank-wide engagement survey, achieving a response rate of over 80%.

5. Enhanced Colleague Value Proposition

The Bank remained committed to fostering an inclusive workplace, supported by programmes and policies focused on employee well-being, growth, and development.

Diversity, Equity, Inclusion and Belonging (DEIB) Initiatives

Launched in October 2025, the BELONG framework drives inclusion, collaboration and high performance through six core behaviours: Be Inclusive, Embrace, Listen, Open Up, No Blame and Give Credit, supported by structured workshops with HR and managers. Employee Resource Groups (ERGs) for women under the Women Impact Network (WIN), introduced during the year, operate across 14 locations, addressing representation, career visibility and retention, aligned to Hire, Enable, Grow, Retain and Local Needs.

The Culture of Inclusivity and Beyond Bias initiative strengthened awareness of inclusion and unconscious bias; building on this foundation, Inclusivity 2.0 was launched this year to focus on empathy, psychological safety and inclusive leadership.

The Diversity and Inclusion Council, led by senior leadership, is instrumental in guiding cultural transformation.

The Kotak Wonder Women (KWW) initiative brings women employees together to advance the gender inclusion agenda through dialogue, collaboration and shared growth. Further interventions supporting women specifically include maternity leave for all women colleagues, including commissioning and adoptive mothers; a New Mother Benefit comprising flexible work arrangements and ₹7,500 monthly financial support for 12 months; upgraded maternity care infrastructure (priority parking, ergonomic seating, improved sanitation); commute and caregiver travel support; crèche tie-ups; Kotak ReLaunch, a six-month programme for women returning from career breaks; and pay equity strengthened through structured reviews and consistent benchmarking.

Health and Wellbeing

The Bank's holistic wellbeing framework, 'Health to the Power Infinity', spans physical, mental, social and emotional wellbeing. Annual Health Checks enable early detection with family coverage at preferential rates, supplemented by health camps, vaccination drives and blood donation initiatives. The Kotak Worklife App (PeopleStrong) provides access to screenings, teleconsultations and nutrition support, further strengthened by the launch of the HappyYou app by Kotak Life Insurance for Bank and Kotak Securities employees, offering AI-led insights, wellness content and rewards. The Employee Assistance Programme provides 24/7 confidential counselling alongside yoga, mindfulness and wellness workshops, while monitored branch timings and increased frontline digitisation help optimise work hours and mitigate burnout. Offsites, cross-functional engagements and celebratory events recognising employees' families further strengthen social connection.

Workplace Experience

Workplace transformation included renovations and upgrades to office environments, alongside technology-enabled systems simplifying day-to-day processes and improving collaboration in hybrid work models. Kotak Worklife (PeopleStrong) offers a mobile-first, unified

interface for leave, reimbursements, attendance, payroll, learning and profile management, while ServiceNow-enabled HR service delivery manages employee queries and HR processes seamlessly.

In conclusion, at Kotak, people remain the cornerstone of progress, supported by sustained investment in capability building, digital enablement and a differentiated employee experience. With a strong focus on talent, leadership, inclusion and well-being, Kotak is building a resilient and future-ready organisation empowering talent to adapt, grow and lead.

COMPLIANCE

The Bank has, since inception, a well-established and comprehensive compliance framework to identify, monitor and manage compliance risk. The framework, policy and structure adhere to regulatory prescriptions issued by the RBI and other regulators. All key subsidiaries have independent Compliance Functions. The Group CCO and Compliance Officers of Group entities interact periodically to ensure regulatory instructions are interpreted and implemented in letter and spirit, facilitating exchange of best practices and understanding of compliance risks across the Group.

The Compliance Function is responsible for all aspects of regulatory compliance across the Bank, with tone from the top ensuring Senior Management directly monitors compliance. The Compliance framework includes risk management processes and tools used by businesses and Compliance Officers for managing compliance risk. The Bank has a Board-approved New Products and Process Approval Policy ensuring all new products and variants comply with applicable regulatory requirements, with compliance reviews conducted within six months of product launch.

Compliance Department senior executives are members of key committees, enabling effective monitoring of compliance risk. The department monitors regulatory changes, disseminates updates to employees and provides training on compliance matters through ongoing online and classroom sessions. The Bank regularly scans regulators' websites and participates in industry working groups to monitor the evolving regulatory landscape. Management and the Board are kept informed through periodic reporting and regular engagement.

INTERNAL CONTROLS

The Bank's Internal Audit (IA) department independently evaluates and reports on the adequacy and effectiveness of internal controls, risk management and governance processes. IA is staffed by skilled, qualified personnel including specialists in Information Technology, Data Security and Cyber Security.

The Internal Audit department reviews adherence to internal policies, processes and regulatory requirements, providing timely feedback to management for corrective action and recommending process and service quality improvements. Based on IA observations, management undertakes corrective actions to mitigate identified risks and strengthen the control environment.

IA adopts a risk-based audit approach aligned with RBI Guidelines on Risk Based Internal Audit (RBIA), covering Retail, Wholesale, Treasury, Operations, Risk, Support Functions, Information Security, IT Governance and Infrastructure. Continuous Off-site Monitoring (COM) uses centralised data-led analysis and exception monitoring. Critical units including retail branches are subject to Independent Concurrent Audit through external CA/consultancy firms under IA supervision. The Audit Committee of the Board regularly reviews IA and concurrent audit observations and management actions. IA maintains coordinated interactions with other assurance functions for effective information flow. The Internal Audit department reports functionally to the Audit Committee of the Board, with administrative reporting to the Whole Time Director.

RISK MANAGEMENT

A. Risk Management

Risk management is a core organisational capability embedded in strategy execution, ensuring risks arising from business activities are systematically identified, assessed, measured and managed in alignment with the Group's risk appetite and strategic objectives. The overarching objective is to optimise the risk-return profile, protect financial strength and reputation, and deliver sustainable stakeholder value.

The Group operates a comprehensive Enterprise Risk Management (ERM) framework that integrates risk management with business strategy and capital planning. It covers the full risk lifecycle—identification, measurement, monitoring, control and reporting and is supported by risk policies, defined risk appetite, governance structures, standardised metrics and stress testing. This enables consistency across the Group while retaining flexibility at the entity level and ensuring resilience under adverse scenarios.

Risk governance is anchored in the three lines of defence model: business functions own risks, independent risk and control functions provide oversight, and internal audit offers assurance. The Board retains ultimate oversight, supported by committees and senior

management, while the Chief Risk Officer leads an independent risk function with specialised units for key risk types. A strong risk culture emphasising accountability, ethics and risk awareness supports the framework, enabling adaptability to evolving regulatory and business environments and ensuring sustainable growth.

B. Capital Adequacy and Internal Capital Adequacy Assessment Process ('ICAAP')

The Group's capital management strategy focuses on maintaining a strong, resilient capital base while optimising allocation to support sustainable growth and shareholder value. It balances capital adequacy, risk exposure and profitability in alignment with regulatory requirements, market expectations and internal risk appetite. A forward-looking framework integrates business projections, earnings capacity, risk profile and macroeconomic conditions, with continuous monitoring to ensure alignment with strategic objectives. Prudent buffers are maintained above regulatory minima to absorb unexpected losses and sustain stakeholder confidence.

A central pillar of this framework is the Internal Capital Adequacy Assessment Process (ICAAP), which links risk assessment, capital planning and business strategy over a multi-year horizon. ICAAP provides a comprehensive view of all material risks, particularly Pillar II risks, beyond regulatory minimum requirements. It evaluates whether additional capital is required based on internal risk assessments and incorporates stress testing to assess resilience under adverse but plausible scenarios.

The ICAAP process involves systematic identification of risks, determination of appropriate mitigation measures through strengthened policies, procedures and controls, and assessment of the extent to which risks should be covered by capital. It culminates in the estimation of sufficient capital to support these risks, ensuring preparedness for potential shocks and alignment with the Group's risk appetite. Outcomes are reviewed by senior management and approved by the Board, with periodic enhancements to deepen analytical rigor.

The Group follows a disciplined capital allocation framework, linking deployment to risk-adjusted returns and strategic priorities, while monitoring both risk-based capital ratios and leverage. Overall, the integrated capital management and ICAAP framework ensures robust capital adequacy, resilience under stress, regulatory compliance and long-term value creation.

C. Risk Appetite

The Group's risk appetite, approved by the Board, defines the nature and level of risk it is willing to accept in pursuit of strategic and financial objectives. It comprises both quantitative and qualitative parameters, establishing clear boundaries for risk-taking across all key risk categories and reinforcing a strong 'tone from the top.'

The framework supports sustainable growth while safeguarding stakeholder confidence through disciplined and well-calibrated risk-taking. Risk appetite is cascaded across business units and entities to ensure alignment between enterprise-level objectives and operational execution. It incorporates thresholds, early warning indicators and triggers that enable proactive identification and management of emerging risks before limits are breached.

Risk appetite is central to the overall risk management framework, linking risk strategy with business planning and capital allocation. It is integrated into financial planning, with business plans assessed against defined metrics to ensure consistency with the Group's risk tolerance. The framework is reviewed at least annually and approved by the Board following detailed evaluation by senior management.

Performance against risk appetite is monitored quarterly and reported to senior management, Board committees and the Board. Deviations or emerging risks trigger timely corrective actions, ensuring alignment between risk exposure, strategic objectives and long-term resilience.

D. Credit Risk

Credit risk is the most significant risk for the Group, arising from potential failure of borrowers or counterparties to meet their obligations across loans, investments, derivatives and off-balance sheet exposures. The objective is to optimise the risk-return balance while maintaining asset quality and long-term sustainability.

There is a comprehensive, Board-approved credit risk framework covering the entire lifecycle - origination, appraisal, approval, disbursement, monitoring and recovery. Policies define underwriting standards, exposure limits, concentration ceilings and delegation structures, ensuring disciplined and consistent decision-making aligned with risk appetite. The core philosophy emphasises repayment capacity from operating cash flows, with collateral and guarantees serving as secondary mitigants rather than substitutes for creditworthiness.

Given distinct risk profiles, wholesale and retail portfolios are managed separately. Wholesale exposures are assessed on a case-by-case basis using internal rating models combining quantitative factors (leverage, profitability, liquidity, cash flows) and qualitative factors (industry risk, management quality, governance and operating environment). Ratings map to probability of default and guide pricing,

approval and monitoring. Retail credit is managed on a portfolio basis using statistically driven models, credit scores, bureau data and borrower profiles, with automated underwriting enabling scalability and control.

A structured credit process ensures independence and robustness through segregation across pre-sanction, sanction and post-sanction stages. Independent appraisal teams, multi-level approvals and ongoing borrower and portfolio monitoring provide strong oversight. Post-sanction monitoring includes annual or more frequent reviews, covenant compliance, rating migration and assessment of sector and macroeconomic trends.

A strong monitoring framework underpins risk management. Early Warning Systems (EWS) identify stress signals, enabling timely intervention through watch-listing and focused supervision. Monitoring spans borrower performance, repayment behaviour, sector dynamics and macroeconomic indicators. For stressed assets, resolution strategies include restructuring, collateral enhancement, legal recovery and transfer to specialised units, with a focus on maximising recovery and minimising losses. Independent loan reviews further strengthen control and compliance.

Off-balance sheet exposures are subject to equivalent credit standards, while counterparty credit risk is managed through limits, collateralisation and margining. Credit risk is monitored at both individual and portfolio levels across sectors, geographies, groups and products, supported by diversification and concentration controls. Comprehensive reporting provides visibility into asset quality, risk migration and emerging risks for informed decision-making.

The framework integrates quantitative models with expert judgment, supported by strong governance and proactive risk mitigation. During the year, the Bank strengthened its Environmental and Social (E&S) risk framework, aligning with global standards and embedding it into credit decisions through policy enhancements and training. Overall, the approach towards credit remains comprehensive, forward-looking and resilient, supporting portfolio quality, regulatory alignment and sustainable growth.

E. Collateral and Credit Risk Mitigation

Credit risk mitigation begins with prudent customer selection based on a comprehensive assessment of financial strength, repayment capacity and overall risk profile. The Group adopts a multi-layered approach across on- and off-balance sheet exposures, combining structural, contractual and security-based techniques to minimise potential losses. Key mitigation tools include facility structuring, collateral, guarantees and financial and non-financial covenants. While collateral and guarantees provide an additional layer of protection, they do not substitute for sound credit appraisal or borrower creditworthiness. Collateral is accepted based on suitability, enforceability and alignment with exposure type, under a Board-approved policy that defines eligible collateral, valuation methodologies and risk-appropriate haircuts reflecting market volatility, liquidity and realisation considerations.

Common collateral includes cash equivalents, immovable property, movable assets, inventory and receivables. Guarantees from stronger counterparties may be used as credit enhancement and are monitored as part of total exposure. Independent valuation at origination and periodic revaluation ensure that collateral reflects current realisable value, with additional security sought where coverage declines.

Legal enforceability is critical, supported by robust documentation, charge creation and regulatory compliance to preserve rights in default scenarios. Periodic inspections and verification confirm the existence and condition of assets, where feasible. Collateral is released only upon full repayment, subject to no residual claims.

Overall, the framework ensures that collateral and related tools effectively complement credit discipline, strengthening risk mitigation and protection against potential losses.

F. Credit Risk Concentration

Credit risk concentration is actively managed to maintain a well-diversified portfolio and prevent excessive exposure to individual borrowers, groups, sectors or geographies, in line with the risk appetite and regulatory expectations. At the borrower level, exposures are governed by Board-approved limits for single and group borrowers, typically more conservative than regulatory thresholds, to mitigate the risk of large losses. At the portfolio level, concentration is controlled through sectoral caps, limits on lower-rated exposures, country and bank exposure thresholds, and controls on unsecured retail lending. Continuous monitoring ensures adherence, with any breaches or emerging risks promptly escalated and addressed through measures such as restricting incremental exposure, diversification, or portfolio rebalancing. Concentration is also monitored across geographies, products, borrower segments and collateral types, supported by analysis of delinquency trends, stress indicators and portfolio quality to detect early signs of risk build-up. Under the ICAAP framework, concentration risk is assessed to determine if additional capital is warranted. Where concentrations are elevated, corrective actions including risk transfer and exposure reduction are implemented. Overall, the framework ensures concentrations remain within acceptable limits, supporting resilience and alignment with strategic objectives.



G. Market Risk in Trading Book

Market risk arises from adverse movements in market variables such as interest rates, foreign exchange rates, credit spreads, equity and commodity prices, and volatilities. It is managed through a Board-approved Investment Policy that defines the Bank's market risk philosophy, risk appetite and governance framework. Oversight is provided by the Risk Management Committee, while the Asset Liability Management Committee (ALCO) approves risk limits and monitoring mechanisms. An independent Market Risk function, reporting to the Group Chief Risk Officer, is responsible for identification, measurement, monitoring and reporting of market risks, with prompt escalation of breaches.

A comprehensive limit framework governs exposures, including sensitivity measures (PV01, duration, option Greeks), Value at Risk (VaR), position limits, loss triggers, gap limits, deal size, tenor and holding period limits. Key limits are monitored on an intraday basis through robust systems and controls. Risk measurement uses a historical simulation-based VaR model (99% confidence, one-day holding period), complemented by regular back-testing. Stress testing and scenario analysis assess exposure under extreme but plausible conditions.

Overall, the framework ensures disciplined risk-taking, strong governance and effective control of market risk within defined appetite.

H. Country and Counterparty Credit Risk

Country and counterparty credit risk arise from the inability of sovereigns, institutions or counterparties to meet obligations due to economic, political or financial stress. Country risk stems from factors such as macroeconomic deterioration, political instability, currency volatility, exchange controls or sovereign actions affecting repayment capacity.

Country risk is managed through a Board-approved policy covering funded and non-funded exposures, with country limits set by ALCO based on macroeconomic, political and external vulnerability assessments. Exposures are continuously monitored against limits, with timely escalation of breaches or emerging risks.

Counterparty credit risk arises mainly from interbank, derivative and treasury transactions. It is managed through a structured framework involving counterparty selection, credit limits, collateralisation and ongoing monitoring of financial strength and market conditions. Limits are based on parameters such as capital adequacy, asset quality, liquidity, earnings and management strength.

Derivative exposures are monitored on a mark-to-market basis, with collateral or margining applied beyond thresholds. Pre-settlement risk is assessed using current and potential future exposure, while settlement risk is mitigated through delivery-versus-payment mechanisms. Increasing use of central counterparties enhances netting efficiency and reduces systemic risk.

Overall, the approach is prudent, limit-driven and supported by strong governance, monitoring and stress testing frameworks.

I. Interest Rate Risk in Banking Book (IRRBB)

Interest Rate Risk in the Banking Book (IRRBB) refers to the potential adverse impact on earnings and economic value due to movements in market interest rates, primarily arising from mismatches in the repricing and maturity profiles of rate-sensitive assets, liabilities and off-balance sheet exposures.

IRRBB is managed through a structured Asset Liability Management (ALM) framework, overseen by the Asset Liability Management Committee (ALCO), which sets policies, risk limits and monitoring mechanisms. Day-to-day management is undertaken by the Balance Sheet Management Unit within Treasury, with interest rate risk centralised through a Funds Transfer Pricing (FTP) mechanism.

Risk is assessed from both earnings and economic perspectives. Earnings at Risk (EaR) measures sensitivity of net interest income and margins over a one-year horizon, while Economic Value of Equity (EVE) evaluates the long-term impact of rate changes on the balance sheet. Measurements incorporate both parallel and non-parallel yield curve shifts.

Internal thresholds are defined in line with balance sheet complexity and risk appetite, ensuring exposures remain within acceptable limits. Overall, IRRBB is actively monitored within a robust governance and control framework, minimising the impact of interest rate volatility on financial performance and ensuring alignment with risk appetite.

J. Liquidity Risk

Liquidity risk is the risk that the Group is unable to meet its financial obligations as they fall due or fund asset growth without incurring unacceptable costs or adversely impacting financial condition. Effective liquidity management is critical to maintaining stakeholder confidence and supporting long-term sustainability. Liquidity is managed through a Board-approved framework focused on maintaining adequate high-quality liquid assets (HQLA) and a stable, diversified funding base under both normal and stressed conditions. The funding strategy emphasises diversification across sources, instruments and tenors, with a strong reliance on stable customer deposits complemented by wholesale funding, balancing cost efficiency with stability.

Governance is driven by the Asset Liability Management Committee (ALCO), which sets strategy, limits and risk tolerances, while the Balance Sheet Management Unit manages day-to-day liquidity. Liquidity risk is embedded within the risk appetite framework, supported by a Funds Transfer Pricing (FTP) mechanism that allocates liquidity costs and incentivises prudent funding behaviour.

Liquidity is assessed using stock measures, cash flow projections and behavioural modelling. Both short-term and structural positions are monitored through internal limits on liquidity gaps, reliance on short-term funding and funding concentration. Regulatory metrics, including Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR), are maintained above minimum requirements.

Stress testing, including reverse stress scenarios, evaluates resilience under adverse conditions and is supported by a Contingency Liquidity Plan outlining triggers and corrective actions. Overall, the framework ensures resilience, funding stability and capacity to support growth.

K. Operational Risk

Operational risk refers to potential losses arising from inadequate or failed internal processes, people, systems or external events. The objective is to manage this risk within defined appetite levels through a cost-effective and controlled framework led by an independent operational risk management (ORM) function under a Board-approved policy.

Governance is exercised by the Board and Risk Management Committee, supported by Operational Risk Executive Committees and the IT Risk & Information Security Committee for technology-related risks. Business and support units retain primary responsibility for managing risks, guided by policies and standards established by the ORM function.

The framework employs structured tools such as Risk and Control Self-Assessments (RCSA) to identify and evaluate risks, alongside Key Risk Indicators (KRIs) to monitor trends and emerging vulnerabilities. Independent audits and control functions provide assurance on policy adherence and control effectiveness. A formal incident management framework captures loss events and near misses, facilitating root cause analysis and strengthening controls.

Business Continuity Plans and disaster recovery arrangements ensure resilience of critical operations and are periodically tested. New products and processes undergo risk-based approvals to embed controls at inception. Risk mitigation is further supported by insurance cover and strong outsourcing risk management across the vendor lifecycle.

Overall, the framework is proactive and comprehensive, integrating governance, risk assessment, incident management, resilience planning and third-party oversight to enhance control effectiveness, support operational stability and align with regulatory expectations.

L. Fraud Risk

Fraud risk refers to potential financial loss, reputational damage or regulatory impact arising from intentional acts of deception or misuse of funds by internal or external parties. This risk is managed through a centralised, independent framework governed by a Board-approved policy and aligned with defined risk appetite. Oversight is provided by the Board, the Risk Management Committee and the Special Committee for Monitoring and Follow-up of Frauds, while a management-level Fraud Risk Management Committee, chaired by the Chief Risk Officer, provides operational direction.

A robust control framework spans the entire lifecycle from onboarding to ongoing monitoring. Preventive controls include due diligence, document verification and field investigations, supplemented by continuous transaction monitoring. An advanced E-Fraud Risk Management (E-FRM) system generates real-time alerts on suspicious activities, enabling prompt investigation. Machine learning models and external intelligence further enhance early detection across onboarding and post-disbursement stages.

Early Warning Signals (EWS) are actively tracked, particularly in credit portfolios, with structured investigation and escalation mechanisms. A comprehensive reporting framework ensures timely escalation to senior management and committees, while staff accountability is assessed and disciplinary actions taken where required. A whistleblower mechanism supports confidential reporting. Third-party risks are managed through due diligence, contractual safeguards and periodic audits. Overall, the framework integrates governance, advanced analytics, proactive monitoring and continuous control enhancement to mitigate fraud risk, protect stakeholder interests and maintain institutional integrity.

M. Technology Risks

Rapid advancements in information technology and the expanding digital ecosystem have significantly increased the scale and complexity of technology and cyber risks. Emerging threats from frontier technologies, potential future quantum capabilities, evolving cyberattack techniques and geopolitical factors pose risks to the confidentiality, integrity and availability of systems and data, with potential operational, regulatory and reputational impacts.



These risks are managed through substantial investments in technology resilience and a layered control architecture designed to mitigate system failures and cyber threats. Robust disaster recovery and Business Continuity Plans (BCP) are established and regularly strengthened to ensure operational resilience. Risks arising from end-of-life systems are managed through structured upgrade processes, ensuring continued system support and security.

Access control is a critical safeguard, with independent provisioning based on role-based access and segregation of duties, supported by stringent controls over privileged access. Cyber resilience is reinforced through frameworks designed to detect and mitigate threats such as data breaches, malware and denial-of-service attacks. New digital products undergo rigorous cyber risk assessments prior to launch and on an ongoing basis.

Continuous monitoring of the threat landscape is complemented by cyber drills, control reviews and initiatives to enhance detection and incident response capabilities. The Group conducts periodic assessments of key controls, including ransomware preparedness and enterprise systems, while deploying solutions to identify external vulnerabilities.

Governance is ensured through Board-level oversight and specialised committees aligned with regulatory expectations. Despite robust controls, the dynamic and evolving nature of cyber threats requires continuous monitoring and adaptive enhancements. Overall, the framework emphasises resilience, proactive risk management and ongoing strengthening of controls to address an increasingly complex technology risk environment.

N. Reputation Risk

Reputation risk refers to the potential adverse impact on the Group's brand, trust and stakeholder confidence arising from actual or perceived actions, events or business practices. Given the centrality of trust in banking, reputational damage can have consequences beyond direct financial loss, affecting customer relationships, investor confidence, regulatory standing and long-term franchise value.

This risk may arise from multiple sources, including operational failures, regulatory non-compliance, weak governance, poor financial performance or ineffective management of other risk categories, and can also be driven by external perceptions. As such, it is closely interconnected with other risks and often reflects broader weaknesses in risk management.

The Group adopts a zero-tolerance approach to activities inconsistent with its values, Code of Conduct or regulatory expectations. Reputation risk management is embedded within the Enterprise Risk Management framework, supported by processes for identifying, assessing and escalating sensitive matters to senior management. Employees are expected to uphold high ethical standards and consider reputational implications in all decisions.

The framework includes guidance for crisis management, including timely communication and corrective actions. Reputation risk is also assessed under ICAAP using a qualitative scorecard approach. Overall, strong governance, ethical practices and proactive monitoring help preserve stakeholder trust and institutional credibility.

O. Conduct, Risk Culture

Conduct risk refers to the risk of actions or behaviours that may harm customers, compromise market integrity or weaken fair competition. Given the breadth of banking operations and regulatory expectations, the Bank recognises key drivers such as mis-selling, benchmark manipulation, unfair customer treatment and non-compliance with laws and regulations. Effective management of conduct risk is essential to maintaining stakeholder trust, achieving long-term objectives and ensuring regulatory compliance.

Conduct risk management is embedded across business and functional units, supported by a comprehensive framework of policies, processes and controls. These include product approval and review mechanisms, suitability assessments, conflict-of-interest management and safeguards for handling confidential information. A zero-tolerance approach to misconduct is maintained, with timely identification, escalation and remediation of issues. Conduct risk considerations are also integrated into human resource processes such as hiring, training, performance evaluation and compensation to reinforce expected behaviours.

Risk culture represents the collective values, attitudes and behaviours that shape how risks are identified, understood and managed across the Group. It is a critical enabler of effective risk management, reinforcing disciplined decision-making aligned with strategy and risk appetite. Accountability, ownership and segregation of duties are emphasised across all organisational levels, with risk management embedded into day-to-day operations and strategic planning.

The Group promotes a culture where managing risk is a shared responsibility, supported by clear communication, structured training programmes and access to risk policies and tools. Employees are expected to proactively identify, assess and escalate risks, while

adhering to high ethical standards and prioritising customer interests. Risk considerations are integrated into business planning, product development and key decisions, ensuring alignment with long-term sustainability goals.

Performance management frameworks align incentives with prudent risk-taking and discourage excessive risk. Senior management plays a key role in setting expectations and exemplifying appropriate conduct. Continuous engagement and extensive training initiatives further strengthen awareness and consistency in risk practices.

Overall, the integration of strong conduct risk management and a well-entrenched risk culture ensures ethical behaviour, regulatory compliance, effective risk governance and sustainable value creation.

P. Stress Testing

Stress testing is a key component of the risk management framework and an integral part of the Internal Capital Adequacy Assessment Process (ICAAP). It provides a forward-looking assessment of resilience under adverse economic and financial conditions, enabling management to better understand potential vulnerabilities and the impact of extreme but plausible scenarios on earnings, capital and liquidity.

The Bank follows a Board-approved stress testing policy aligned with regulatory guidelines, covering all material risk categories. Stress scenarios are designed with varying degrees of severity, incorporating both institution-specific and systemic risks. These scenarios are used to evaluate the impact on key financial indicators, including capital adequacy, profitability and liquidity positions. Stress testing complements other risk management tools by providing insights into tail risks and helping assess whether existing capital buffers are sufficient to absorb potential losses. Reverse stress testing is also conducted to identify extreme conditions under which capital levels may fall below acceptable thresholds, thereby highlighting critical risk drivers and informing contingency planning.

Liquidity stress testing forms an integral part of the framework, assessing the ability to withstand short-term funding pressures under stressed conditions. The results help validate the adequacy of liquidity buffers and funding strategies.

Outcomes of stress testing exercises are reviewed by senior management and the Board and are used to inform risk appetite setting, capital planning and strategic decision-making. They also support the development of appropriate mitigating actions to enhance resilience. Overall, stress testing strengthens preparedness for adverse conditions and supports a proactive, risk-informed approach to managing uncertainty.

Q. Geo-Politics, Tariffs & Climate Risk

Geopolitical risks remain elevated due to ongoing conflicts, strategic rivalries and increasing fragmentation of global trade and financial systems. These factors contribute to market volatility, inflationary pressures and cautious investment sentiment. For emerging economies such as India, key transmission channels include crude oil price movements, currency fluctuations and potential capital flow volatility. Rising tariff tensions reflect a broader shift towards protectionism, disrupting global supply chains, increasing costs and affecting global growth and financial stability. The Group remains resilient, supported by a strong balance sheet and adequate liquidity, enabling it to navigate external uncertainties and continue supporting customers.

Climate risk has become a structurally embedded component of regulation, finance and industrial policies. In India, initiatives such as the Carbon Credit Trading Scheme and evolving RBI guidance are driving integration of climate considerations into governance, risk management and disclosures. Strengthening national climate commitments is increasing pressure on carbon-intensive sectors, while policy support is accelerating development of low-carbon ecosystems, including renewable energy expansion, green hydrogen and electrification.

To manage transition risks, the Bank evaluates climate-related exposures across sectors using analytical tools such as weighted average carbon intensity benchmarks against emission pathways. This has been progressively expanded despite challenges around data availability and standardisation. Sector-level research supports understanding of regulatory, technological and market developments.

Physical risks are assessed through pilot analyses to evaluate potential impacts on asset quality and operations, alongside strengthening data frameworks and resilience planning. Forward-looking assessments guide mitigation strategies, including governance, data practices and business continuity measures.

Overall, the approach is evolving and forward-looking, integrating geopolitical, trade and climate considerations into risk management to enhance resilience and support sustainable growth.



SAFE HARBOUR

This document contains certain forward-looking statements based on current expectations of the Bank's management. Actual results may vary significantly from the forward-looking statements contained in this document due to various risks and uncertainties. These risks and uncertainties include the effect of economic and political conditions in India and outside India, volatility in interest rates and in the securities market, new regulations and government policies that may impact the businesses of Kotak Group as well as its ability to implement the strategy. The Bank's management does not undertake to update these statements.

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Figures for the previous year have been regrouped wherever necessary to conform to current year's presentation.